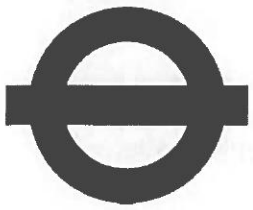


London Transport Museum
Annual Report 2017/18

London Transport Museum

We use the story of transport to encourage, enrich and inspire all Londoners and those who love this city to get the most out of London.

No other city has been defined and shaped by transport the way London has – but the true impact can be invisible to the people who use our Tube, bus, rail and road services every day.

The Museum and its collections bring together the past, present and future to show just how much transport has influenced our modern city, economy and culture. Transport keeps London moving, working and growing and continues to make life in the Capital better.

London Transport Museum (LTM) Annual Report 2017/18 incorporating the Strategic Report, Annual Report of the Trustees and financial statements for the year ended 31 March 2018

Contents **Page**

Strategic Report

Message from the Chair of Trustees and Managing Director	4
Our five-year plan 2018-2023	5
The year in summary	6
Key Performance Indicators 2017/18	7
Review of charitable activities:	8
Poster Girls: a century of art and design	9
Access and Museum operations	11
Education and engagement	13
Heritage and collections	17
Public programme	19
Income and support:	27
Interchange	31
Corporate Members	33
Supporters and Sponsors	34
Individual Supporters	35
Financial review:	36
Reserves	37
Risk management	40

Annual Report of the Trustees

History of the Museum	43
Structure, governance and management	44
Trustees' statement	51
Trustees and advisers	52
Independent auditor's report	53
Financial statements	57
Support us	77

STRATEGIC REPORT

MESSAGE FROM THE CHAIR OF TRUSTEES AND MANAGING DIRECTOR

We are delighted to present the Annual Report and Accounts for London Transport Museum (LTM) for 2017/18, an important year for us as we embark upon an ambitious five-year plan (the Plan).

It was a busy year across the Museum: we welcomed nearly 400,000 visitors at Covent Garden and Acton; our Safety and Citizenship team reached 89,000 of London's Year 6 pupils; around 2,900 under-fives participated in our programmes; 3,000 under-15s were introduced to STEM (science, technology, engineering and maths) careers; our Youth Travel Ambassadors scheme influenced travel choices at 134 London secondary schools; we created the new ShapingLDN late debate programme; and we opened a fantastic new exhibition, *Poster Girls*, featuring a stunning collection of transport posters by female artists from 1910 to the present day. Marking the centenary of votes for women, *Poster Girls* rolled out the red carpet for a remarkable range of poster work and is bringing many lesser known female artists into the limelight.

For the Year of Engineering 2018, we launched an exciting programme of events, opened new exhibitions and completely overhauled our tunnelling gallery which is now known as 'Digging Deeper'. This gallery tells the story of London's deep underground tube network, from Brunel's Thames Tunnel to Crossrail, which is due to open as the Elizabeth line when construction work is completed.

An enhanced Collections Online website was launched in May 2017, opening a superb new digital route to over 60 per cent of our collections and their associated histories. Of the 2,700 additions to the collection this year, the highlight came at the completion of the Leyland buses appeal with the arrival of a third vehicle, the X2, dating from 1908. The X2 is the oldest working London double deck bus in the UK and will join the charabanc and the Chocolate Express to help us tell the story of London's early buses. We waited a long time to acquire such high-quality vintage Leyland buses and then three came along together!

Hidden London is now well established as a tour programme for disused stations and other intriguing locations rarely accessed by the public. Some 17,000 tickets were sold during the year for sites including Down Street, Clapham South Deep Level Shelter and Highgate. We have exciting plans to expand and grow the programme in the coming years.

To support our work, we achieved financial targets for the first year of the Plan, despite economic uncertainty and a series of terrible terrorist attacks in central London. It is a testament to the people of London and the tourists who choose to come to this great city that our visitor numbers actually increased this year. We will build on this success and pursue financial resilience by using the charity's key assets – our collections, our people and our networks – to generate income and become more plurally funded. To this end we were very pleased to secure four-year support worth £1m from Arts Council England as one of their new National Portfolio Organisations. As ever, our partnership with Transport for London (TfL) is the bedrock on which our busy and creative museum is built, and we thank all our friends and colleagues in the TfL group for their support.

We must also thank all the visitors, shoppers, corporate members, sponsors and funders who gave us their time, their support and their money this year – it is very much appreciated. The challenge and advice of our Trustee and Enterprise boards, our energetic and talented staff group and over two hundred volunteers enable LTM to be agile and successful, and on the Museum's behalf we thank them all for their commitment and inspiration.

Keith Ludeman, Chair of Trustees, Sam Mullins, Managing Director

OUR FIVE-YEAR PLAN 2018-2023

During 2017/18 we began the first year of our new Plan, which sets out how we will remain a strong, sustainable and engaging charity.

The key objective underpinning the five-year plan is to secure financial sustainability from 2020/21 through investing in our financial resilience, working with our people and partners, and delivering our charitable purposes. The Plan realises our charitable purpose through four key strategic areas of activity. It sets out how we will:

1. Be the world's leading museum of urban transport by:
    a. Attracting at least 400k visitors each year from audiences reflective of London
    b. Undertaking a rolling refurbishment programme of the Covent Garden galleries
    c. Creating excellent special exhibitions and world class experiences such as the Hidden London tours
    d. Raising customer satisfaction to at least 90 per cent
    e. Seeking opportunities to distribute our work across London

2. Share knowledge and provoke conversations about transport and the future of London through:
    a. The ShapingLDN debate series for public audiences
    b. The Interchange thought leadership programme for business
    c. The provision of research facilities that allow our audiences to explore London and its transport

3. Stimulate curiosity in our city by:
    a. Promoting science, technology, engineering and maths (STEM) careers through the Enjoyment to Employment programme
    b. Outreach to under-11s through the Safety and Citizenship scheme
    c. Delivering the Q stock train and other major restoration programmes

4. Conserve and share our collections by:
    a. Increasing visits to the Museum Depot at Acton
    b. Caring for 80 vehicles and over 450,000 items in our Designated Collection
    c. Increasing online access and usage

To drive the Plan we are investing in our workforce and volunteers, and developing beneficial relationships with a range of partners. We also have ambitious commercial and financial targets to build financial sustainability.

A summary of our objectives, taken from the Plan, is given below. To see the full five-year plan, visit our website: https://www.ltmuseum.co.uk/about-us/516-governance

Our plan

Our people and partners
skills and diversity
volunteer hours
partnerships
quality of our experiences
participation in London's future
World's leading museum of urban transport
£350,000
gallery refurbishment
customer satisfaction
90%
diverse audiences
Distributed Museum
participation
Stimulate curiosity in our city
150,000
Enjoyment to Employment
gender gaps
TfL Safety and Citizenship
behaviour
travel choices
Youth Travel Ambassadors
Hidden London
50,000
Conserve and share our collections
80 vehicles
30,000
restoration
Collections online
Share knowledge and provoke conversations
impactful outcomes
Informed debate
ShapingLDN
exploration and research
Finance strategy
commercial contribution
Diversify
funding
Achieve financial sustainability by 2021

THE YEAR IN SUMMARY

Each year we set targets for visitor numbers and other key measures that indicate how we are meeting our charitable objectives.

With nearly 400,000 people visiting the Museum at Covent Garden and our Acton Depot in west London, 2017/18 was our second-best year ever for visitor numbers. Many central London cultural attractions reported footfall down this year, so LTM's performance is even more remarkable as we ended two per cent above last year's result.

The Acton Depot Open Weekend in April 2017 attracted nearly 8,000 visitors, the highest attendance since the Depot open days began in 1999. The Hidden London programme provided behind-the-scenes tours for 17,000 people, and our heritage bus fleet, led by the Battle Bus B2737, operated for 318 hours, being seen by thousands of people at various events across the country. We were pleased to be able to re-introduce steam train runs this year, and the Met No.1 steam locomotive covered 152 miles of operations across the Underground network. It also operated as a guest vehicle at other heritage railways.

Once again we delivered an exciting programme of activities for our varied audiences, including Family Fun during school holidays, the innovative ShapingLDN debate series, plus talks, events and the popular Friday Lates for adult visitors. *Poster Girls* was the major exhibition of the year, but we also held the regular AOI Prize for Illustration competition and exhibition, this time themed around *Sounds of the City*. We opened a temporary exhibition looking at the final phases of construction of the Crossrail project, displayed a number of themed Poster Parades and re-opened the tunnelling gallery, now called Digging Deeper, with completely refreshed content. A full listing of the Museum's activities can be found in the Public programmes section of this report.

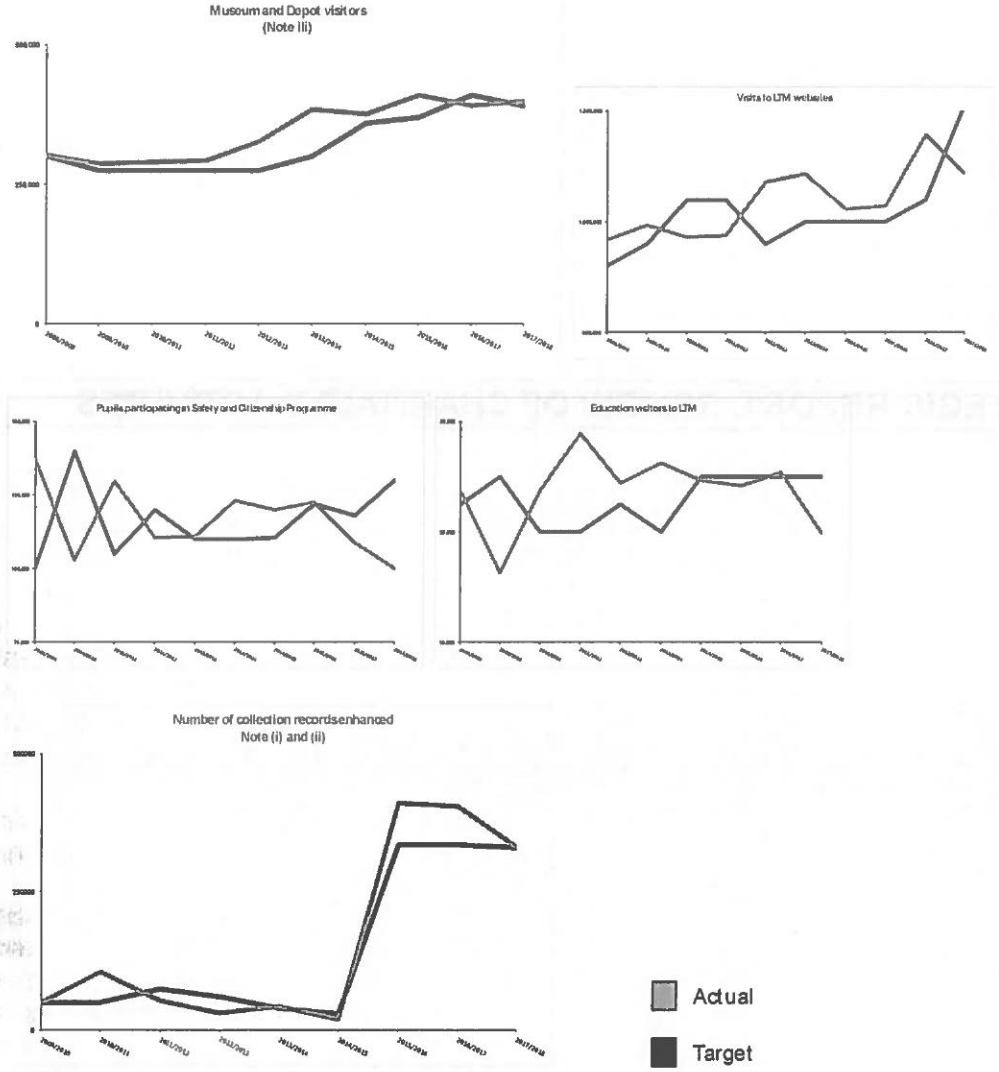
We also made improvements to customer facilities including the toilets, café and Cubic Theatre, which had a major overhaul of its audio-visual systems during the year.

Following the 2017 London and Manchester terror attacks and similar incidents across Europe, school visits to central London institutions reduced in number for part of the year. This resulted in a 20 per cent fall in education visits to the Museum this year. At the same time, a funding reduction by TfL also affected our flagship schools outreach initiative, the TfL Safety and Citizenship Programme. We recalibrated our ambition and worked to deliver maximum benefit for the available funding. Although we consequently worked with 23 per cent fewer school pupils this year than originally planned, the programme continued to deliver key messages and important learning outcomes to thousands of Year 6 pupils across London.

Visits to the Museum's websites reduced significantly this year as we streamlined online content into the new Collections Online service launched in May 2017. The new facility is integrated into our main website, allowing direct access to information on 260,000 items which comprise over 60 per cent of the collections. We are confident that as more records and images are added to Collections Online, and related commercial opportunities are developed, this resource will generate increasing numbers of visitors. As in prior years, a high level of activity associated with Collections Online had a significant impact on our key measure of curatorial outputs, with 331,000 collections records enhanced.

Detailed accounts of the Museum's charitable activities this year can be found in later sections of this report.

KEY PERFORMANCE INDICATORS 2017/18



Notes:

(i) No data available before 2009.

(ii) The Born Digital and Collections Online projects began in 2015 and have resulted in changes to significant numbers of records.

(iii) Visitor numbers for 2016/17 have been restated and increased as shown below. This follows the identification and rectification of an issue affecting repeat visitors not recorded correctly in the visitor database. The previously reported and restated numbers are shown below:

Museum and Depot Visitors	
Previously reported	367,916
Revised	391,749
Increase	**+23,833**

STRATEGIC REPORT: REVIEW OF CHARITABLE ACTIVITIES

POSTER GIRLS: A CENTURY OF ART AND DESIGN

Our exhibition programme is at the heart of our charitable activity, providing access to our collections, inspiring our learning activities and acting as a catalyst for conservation and new acquisitions. The headline exhibition for 2017/18, *Poster Girls: a century of art and design*, celebrates outstanding poster art created by women designers, illustrators and fine artists for London's transport over the last hundred years.

Early in the twentieth century, poster design became a new form of art. The bright, innovative medium of pictorial posters, aided by advances in colour printing, quickly became a primary marketing medium for theatres, shops, tourist destinations and public bodies.

Transport companies saw the potential too, notably the Underground Group. Of the many posters commissioned for London's transport network, at least 170 are known to have been by female designers. Many more women are likely to have designed transport posters but their identities are hidden behind initials, or the work has been credited to an advertising agency. With its deliberately ironic title, the *Poster Girls* exhibition aims to give these forgotten design heroines the recognition they deserve. Appropriately in 2018, the centenary year of votes for women, the exhibition also provided an opportunity to reflect on the changing social, economic and political conditions that affected women's lives and work over the last century.

With over 130 posters on display, *Poster Girls* features well-known designers, such as Mabel Lucie Attwell, Ruth Hydes, Enid Marx and Zandra Rhodes, alongside lesser known women such as Freda Lingstrom and Dora Batty. The showcased designers helped change the way Londoners view the Capital by using a dazzling spectrum of artistic styles and mediums in their posters: modernist, figurative, flat colour, boldly patterned, abstract, collage and oil.

The exhibition moves from 1910 through to contemporary times, showing how each era influenced the artists' stylistic approach. Alongside the posters, additional exhibits including ceramics, textiles, books, film and photographs, help enrich the story. Throughout the exhibition, the role played by London's transport companies in commissioning female talent is highlighted.

When Frank Pick took charge of Underground publicity in 1908 there were few poster artists working in Britain, and almost all were men. In the male-dominated advertising industry, opportunities for women were mainly limited to book and magazine illustration. From the start, Pick took a progressive view to commissioning, irrespective of gender, and over the decade a new group of women poster artists emerged. The *Poster Girls* exhibition contains the first known poster by a woman to appear on the transport network – *Kew Gardens by Tram*, by Ella Coates in 1910.

During the 1920s and 1930s many more women artists designed posters for the Underground. Social and political freedoms were gained after the First World War, and there was easier access to art education. For women, this meant that becoming a designer was a viable career option for the first time, although male designers were still paid more and achieved greater fame than their female colleagues. The Underground played a key role in championing outstanding design and employed more women artists than rival companies. The bright and humorous 1925 poster, *Summer Sales Quickly Reached by Underground* by Mary Koop, which features in our publicity for the exhibition, perfectly captures the upbeat mood of the times.

During the Second World War, publicity for leisure was replaced by public information posters. Far fewer women worked as poster artists in Britain during the 1940s, despite a

shortage of wartime designers. After the war, London Transport began to commission women once more, employing both established female artists like Laura Knight, as well as emerging talent, including Betty Swanwick and Sheila Robinson. But the number of women poster designers in the 1950s remained low.

In the 1960s, London Transport publicity followed the contemporary trend for illustrative posters, rather than the innovative bold designs of earlier periods. Most of the female artists commissioned at this time were illustrators and teachers who designed posters as one part of a wider creative output. As competition from television and magazine advertising increased, the overall number of new commissions declined dramatically from about 100 a year in the 1930s to less than 20. By the 1970s many of the Underground's posters were produced anonymously by advertising agencies.

By the 1980s, advertising revenue was in decline, so London Transport began a fine art poster programme to fill unsold commercial advertising spaces. It represented a revival of the Underground's earlier tradition for high quality original commissions. Art on the Underground posters were commissioned directly from artists, with posters printed in large numbers for extended display across the network. As the economic situation improved in the 1990s, London Transport also produced more traditional, commercial, posters with a direct 'go places – do things' message known as the 'Simply' series. Women designers played a renewed and prominent role in both campaigns.

Since the formation of Transport for London in 2000, the organisation has continued to commission posters from individual artists, with women producing some of the most striking designs. While some of these promote Art on the Underground projects, others carry on the tradition of enticing passengers to travel off-peak to the countryside or into town for entertainment and leisure. With their strong graphics and bright colours, these posters are the direct descendants of those early, innovative, commissions.

Poster Girls runs until January 2019 and is accompanied by a programme of talks and events. For more details about all aspects of the Museum's programme, including Poster Girls, see our website: https://www.ltmuseum.co.uk/whats-on

To accompany the *Poster Girls* exhibition, a special publication has been created which includes additional posters and essays, and is available from the Museum shop or online.

ACCESS AND MUSEUM OPERATIONS

We want our collections, exhibitions and events to be enjoyed by as many people as possible. Access is provided daily at the Museum in Covent Garden, through tours and open days at the Museum Depot in Acton, and via the Museum website. Our heritage vehicle outings, Hidden London tours and a rich programme of special events also help us inspire audiences with the story of London's journey.

With many central London museums experiencing a reduction in patronage, we were very pleased to see our visitor numbers grow by nearly two per cent this year. In total, admissions to Covent Garden and Acton were almost 400,000 making 2017/18 our second most popular year since the Museum opened in 1980. We also received the highest ever customer satisfaction index score of 89, and were once again accredited under Visit England's Visitor Attraction Quality Assurance Scheme (VAQAS). Customer service was a focus throughout the year with frontline staff attending customer service workshops to raise awareness, improve skills and maintain our high standards.

After the *Designology* exhibition closed in April 2017, the Exterion Gallery hosted two more exhibitions this year. The Prize for Illustration competition entries were as varied and interesting as ever with some excellent designs inspired by the *Sounds of the City* theme. This was followed by *Poster Girls: a century of art and design* which shone a spotlight on 20th and 21st century female graphic designers. The exhibition, which runs until January 2019, features over 130 posters and original artworks, and has been the touchstone for a public programme that includes Friday Lates and lectures exploring the historical and social context of the times in which these key designers were producing their work.

Also at Covent Garden this year, we began a five-year plan to update and refresh sections of our permanent exhibition displays. This involved a comprehensive redevelopment of our tunnelling gallery. The project benefitted from a Biffa Award grant and was successfully completed in March 2018 when the new gallery, Digging Deeper, opened to the public. While the project was underway, the gallery was enclosed by a smart hoarding which included peep holes so that visitors could see the work that was going in. This helped us to maintain a positive message during the closure of the space, and created a sense of anticipation about the new story that would be unveiled. The new gallery tells the story of tunnelling from Brunel's Thames Tunnel in 1843 through to the Elizabeth line, combining objects and audio-visual elements in an immersive and innovative way.

A temporary exhibition, *The Secret Life of a Megaproject*, also opened this year, uncovering some lesser-known stories about the Crossrail project, one of the largest civil engineering undertakings in Europe. The project will culminate in the opening of the Elizabeth line. On a different note – but no less important for our visitors – we also refurbished the Museum's customer toilets and updated our Lower Deck café, introducing a new menu and a popular ice cream bar.

At the Museum Depot, we held two major Open Weekends as well as monthly tours. The April 2017 weekend entitled Secrets of the Underground was our most successful ever, with nearly 8,000 visitors. As part of the programme of activities, experts were on hand to tell the stories of hidden underground spaces such as the former Post Office railway Mail Rail and the Kingsway tram subway. There was also the usual mix of Family Fun, engineering demonstrations and tours of the collection. In September 2017, the theme was London Uncovered, celebrating great design with a focus on the special details and distinctive moquette textiles that make the London transport system unique.

Other public programming in 2017/18 included a huge range of family activities, evening talks, after-hours adult-orientated craft activities, and the popular Friday Lates. The Late

Debate strand plays an important part in our aim to make the Museum an organisation that shares knowledge and provokes conversations about transport issues and the future of London. The programme was relaunched as ShapingLDN this year, with guests able to enjoy a range of interactive talks, debates and workshops with leading industry experts, scientists, entrepreneurs and innovators. Topics included driverless vehicles, technology and the future, and women of the future - the latter inspired both by *Poster Girls* and the #BehindEveryGreatCity campaign which marked 100 years since women in Britain were first given the right to vote.

The Hidden London programme of guided walking tours remained popular with our audiences this year. These tours, held at venues that are rarely accessed by the public, or in some cases have never been accessed before, generally sold out very quickly. We also added to our itinerary with special tours focussed on photography and underground film screenings. Behind the scenes, changes were made to the way we staff and operate the Hidden London programme, to support growth and financial resilience in the future.

EDUCATION AND ENGAGEMENT

We want to inspire everyone to engage with the past, present and future of London's transport. At the Museum and Depot, and through outreach across London, we offer learning opportunities, skills development and engaging programming to our visitors, schools, young people, volunteers and many other communities.

With security fears in the early part of 2017/18 making parents and teachers initially wary of bringing school groups into central London, bookings for education visits fell to 19,900 this year. In response, we trialled outreach sessions to schools as part of our flagship Enjoyment to Employment programme, exploring the science and technology that TfL and its partners use to keep London moving. These sessions are supported by Engineering Ambassadors - colleagues from the transport industry who create enthusiasm for the importance of engineering and offer inspiring role models to students.

In partnership with specialist theatre company Specifiq, we also developed a new activity based away from central London at Acton Depot which will launch next year. Inspired by immersive theatre and escape-room games, the interactive adventure 'Mind the Gap' offers an imaginative way for school children to engage with the LTM collection.

Our community work includes the Battle Bus project which commemorates the contribution of London buses and bus crew to the First World War. Exhibitions and activities, led by volunteers and the Battle Bus Apprentice, were held in Camberwell and Tottenham. Using comic books as an inspiration, school pupils created original artwork and stories, with two volunteers gaining a Bronze Art Award. We also delivered a ten-week course with homelessness charity St Mungo's exploring the LTM's moquette collection. The project culminated in a celebratory event in December at which textile designers Wallace Sewell unveiled a display of participants' work.

At school holidays and during Acton Open Weekends, visitors can participate in our family activities programme. This year guests were invited to: build musical instruments using everyday recycled household materials; make board-games; listen to story-telling; try picture-making; join in singalongs and craft sessions, and indulge in some festive Christmas fun. We also worked with nearby communities to raise awareness of LTM among families with young children, and we were invited to deliver a workshop at the Leslie Palmer Carnival Pioneers festival at the Westway Trust in Ladbroke Grove. To help bring under-represented groups into the Museum, we have established a Community Bursary Programme and the first recipients visited LTM during the summer.

Our education work depends on successful partnerships. The innovative skills-development and employability programme, Route into Work, is a partnership with TfL and the transport industry. This year we helped Cleshar recruit six track engineering apprentices and we also ran a course supported by Dragados, Bombardier, telent and Arriva to help 13 young women into the construction industry. We also ran a knowledge-sharing event with delegates from across the cultural sector. In May 2017 we partnered with Central Careers Hub, Milkround School Leavers and TfL to host a conference which welcomed over 180 careers advisors and tutors responsible for over 40,000 students. The event provided industry updates, professional networking opportunities, awareness of opportunities within TfL and information regarding the education initiatives run by the Museum. An exciting addition to our employability work was delivered in November 2017 when we held our first Skills Late event. Over 100 young people aged 16-25, along with parents, teachers, carers and advisors had a chance to meet up to eight employers at an evening designed to inspire young Londoners into a career in transport or infrastructure.

One of our major initiatives, the TfL Safety and Citizenship (S&C) programme had to respond to a reduction in funding this year. S&C delivers important messages via sophisticated audio-visual material, specialist vehicles, and input from volunteer Transport Youth Engagement Officers drawn from the transport industry. By restructuring the delivery model we were still able to work directly with 85 per cent of Year 6 school groups in London during the academic year to deliver high quality education about safe and responsible travel on the TfL network. During 2017/18 we saw over 89,000 students via a combination of school visits and borough-wide Junior Citizenship Schemes (JCS), which are multi-disciplinary events including other organisations such as Battersea Dogs and Cats, Trading Standards, the police and many other agencies. At one JCS, a scenario run by Queens Park Rangers (QPR) football club used tactical games to frame a conversation about impulse control, something which often affects student behaviours.

In August we used our S&C resources to deliver Be Safe Week at the Museum. We were joined by other organisations including the Metropolitan Police demonstrating fingerprinting, and the RNLI delivering water safety messages. In support of a scheme run by the Police Cycle Safety Team we invited people to sit in an HGV cabin to demonstrate the blind spots of drivers and how these affect their ability to see cyclists. It was a busy week, with over 6,000 visitors to the Museum during the five days.

We partnered with the police to deliver Project Guardian which also utilises our expertise in youth engagement activity. This important initiative educates young people to respond to and report unwanted sexual attention on the transport network. Over 4,000 secondary school pupils took part in workshops this year, with positive feedback from TfL, schools, participants and the police.

The Youth Travel Ambassadors (YTA) Programme is aimed at secondary schools across London, with a focus on peer-led, safe and sustainable travel campaigns. Since inception, the programme has delivered for over a third of London's 800 secondary schools and a new three-year model of engagement was developed this year to enable the team to reach even more schools in future. YTA campaigns link directly to the Mayor's Transport Strategy and the YTA team also deliver an annual Expo at the Museum each summer. This year's theme was Legacy, Leadership and Life skills, and the Mayor's new Walking and Cycling Commissioner, Will Norman, was a special guest. Road Safety Week took place in the winter term during which YTA students delivered assemblies to around 20,000 students in 30 boroughs across London. An independent evaluation report by Canterbury Christchurch University this year highlighted key strengths of the YTA programme including 'impressive levels of reach and engagement with schools' and 'outstanding practice in participatory approaches to youth-led social action'. Over 300 students across more than 30 schools are enrolled in the new accredited YTA Leadership award.

Our Young People's Skills programme is sector-leading, and we work with young freelancers, young volunteers and apprentices to deliver learning and community projects across the Museum. Our Arts Council funded work in this area now includes support and advice to other organisations, and our Museum appeared as a case study in the Mendoza Report published in November 2017. This independent review of Museums in England highlights the way that we have used our apprenticeship programme to diversify and strengthen the Museum workforce.

Education and engagement partnerships

Our learning and engagement programmes are supported and enriched by creative partnerships with a broad range of organisations.

We are delighted to have worked with the following partners during 2017/18

INSPIRE ENGINEERING SUPPORTED BY SIEMENS
Luke Rees-Pulley Charitable Trust
Siemens

ROUTE INTO WORK PARTNERS
A Fairer Chance CIC
Arup
Arriva Rail London
Bombardier
Capital City College Group
Central Careers Hub
Cleshar
Costain
Department for Transport
Dragados
Hitachi Rail Europe
Job Centre Plus
Microsoft
Milkround School Leavers
MTR Crossrail
Skills Training UK
Southeastern
St Mungo's
telent Technology Services
Women into Construction

SCIENCE, TECHNOLOGY, ENGINEERING AND MATHS (STEM) PARTNERS
British Science Association
Engineering UK Institute of Civil Engineers
MBNA Thames Clippers
MTR Crossrail
Siemens
STEM learning (previously STEMNET)
Transport and Infrastructure Education Partnership
Women in Science and Engineering
Women's Engineering Society

SCHOOLS, COLLEGES, YOUTH AND EDUCATIONAL ORGANISATIONS
Care Consortium
Chestnut Grove Academy
City of Westminster College
Colvestone School
Digital Works
Greater London Authority (London Curriculum)
Greater London Authority (Youth Team)
Greenside Community Centre
Highbury Fields Girls School
National Autistic Society
National Careers Service
Quintin Kynaston School
St Angela's School
St Bonaventure's School
St Mungo's Recovery College
Skills Training UK
Trinity College London
Westminster Adult Education Service
Westminster Kingsway College
Young Londoners Participation Network

BATTLE BUS LEARNING PROGRAMME PARTNERS
The Audience Agency
Lancasterian Primary School
Lyndhurst Primary School
Portable Print Studio
Spectrum Drama

APPRENTICESHIPS AND TRAINEESHIPS
Creative and Cultural Skills
Cultural Co-operation
London Apprenticeship Company
National College Creative Industries

MUSEUMS AND CULTURAL SECTOR PARTNERS

A New Direction
Artburst
Association of Independent Museums
Cultural Learning Alliance
Culture Network Westminster
Diversity in Heritage Group
Engage
Florence Nightingale Museum
Fulham Palace
Group for Education in Museums
Heritage Volunteer Group
Historical Association
Kids in Museums
London Festival of Architecture
London Museums Group
Museums Association
Museum Detox Group
Museum of London
National Gallery
Royal Commission for the Exhibition of 1851
Royal Museums Greenwich
Science Museum
Southbank Centre
Young People's Programmers Network
You Make It

TFL SAFETY AND CITIZENSHIP AND YOUTH TRAVEL AMBASSADOR PARTNERS

Arriva Rail
Battersea Dogs and Cats Home
Blue Cross Animal Charity
British Transport Police
Camden LGBT Forum
Canterbury Christ Church University
Hackney Museum
Linford Christie Stadium
London Borough Councils, particularly Road Safety Officers and Trading Standards
London Fire Brigade
MEND Hammersmith and Fulham
Metropolitan Police
Old Kent Road Fire Station
Queens Park Rangers Football Club
Royal National Lifeboat Institute (RNLI)
St John Ambulance
The Schools, Students and Teachers Network
Wood Green Animal Shelter

We are also grateful to our many friends and colleagues across TfL who support the education and engagement work of the Museum. In particular, we would like to thank TfL Buses, TfL Enforcement and On Street Operations, TfL Schools and Young People, London Underground and Tramlink for releasing volunteers to help deliver our programmes.

HERITAGE AND COLLECTIONS

The Museum's collection of nearly half a million objects includes vehicles, posters, signs, uniforms and other items that represent London's unique transport heritage. We ensure the collection is properly conserved and cared for so it can be used as an inspiring and accessible resource for exhibitions, events and research.

Exploring a fascinating theme within our hugely rich poster and art collection, *Poster Girls: a century of art and design* and the accompanying book placed long overdue focus on 20th and 21st century female graphic designers (see section above). Our Poster Parade mini-exhibition, *At London's Service*, also looked at the role of women in London's social history, using archive posters to highlight the many roles women have undertaken for London Transport. Other Poster Parade themes this year included *The Flow of the River*, *Myths and Fairy Tales,* and *Sounds of the City,* the latter accompanying the 2017 Prize for Illustration poster exhibition of the same name.

Our curatorial team developed the new Digging Deeper gallery which opened in March 2018. It combines a rich vein of authentic objects with innovative audio-visual elements to create an immersive experience exploring the construction of London's deep level Tube system. Other Year of Engineering exhibitions include *The Secret Life of a Megaproject* which looks at the Elizabeth line as it nears operation, and an audio-visual presentation about Crossrail 2, the planned new line that would connect south west and north east London.

It was another busy year for heritage vehicle events. Highlights included Battle Bus helping to mark the First World War centenary of Biggin Hill aerodrome and paying visits to excited primary school children in Tottenham and Camberwell. The beautifully restored 1914 Leyland charabanc attended the annual ceremony at the Guildhall for cart-marking by the Worshipful Company of Carmen, as well as the 'On the Buses' rally at the Severn Valley Railway. Several buses from the collection undertook public service runs on numbered bus routes, including Routemaster RM2 on route 406 between Kingston and Epsom, and 1969-built single decker MBA582 operating on the 500 and 507 routes out of Victoria. Metropolitan Railway steam engine Met No. 1 made a welcome return to the Metropolitan line between Amersham and Harrow-on-the-Hill in September 2017.

This range of events required extensive preparatory work which was undertaken alongside a full programme of other vehicle restoration projects. This included Waterloo & City car 61, whose paintwork is vastly improved, and the Q-stock Underground cars which have a dedicated team of associated volunteers working on a three-year programme to return them to operational use. Other collections-care work this year included assessing over 14,000 photographs, cleaning and rehousing over 5,000 items in our library's pamphlet collection, an innovative remote-working volunteer project to support the indexing of library journals, and the conservation of several stunning original poster artworks. The collection of ticket machines and passimeters (ticket booths) has also been rearranged to allow a more visually-appealing display for Acton Open Weekends in 2018.

In total, some 2,700 objects were added to the Museum collection this year, including the 1908 Leyland X2 double-decker bus, and an early enamel sign from Bank Underground station dating from around 1908. The contemporary collecting programme also generated a range of objects and digital content including photographs taken around the network on the tram system, DLR and Emirates Air Line, and oral history interviews with staff working on the Night-Tube and Woolwich Ferry.

The launch of the Collections Online site in May 2017 was the culmination of many years activity to update and enhance our object records. This includes library records, which are available online for the first time. Over 260,000 records are now accessible, including posters, photographs and audio files. Work has continued since the launch, with 3,300

further records added, updated links to the LTM shop website, and the restoration of print-to-order functionality for over 4,000 posters. A special scanning project produced 1,500 high-resolution images which included all the posters featuring in the *Poster Girls* exhibition, as well as material for Hidden London and our HLF-funded moquette project.

The moquette project was called *Celebrating Britain's Transport Textile*, and delved into the story of the iconic fabric that has been a familiar feature of London buses and Tube trains since the 1930s. Research uncovered a newly discovered design by Enid Marx and we also established that the 'Roundel' moquette design was wrongly attributed to a male designer; it was in fact created by Joy Jarvis. An accompanying programme of events included a successful symposium held in November 2017, a textile-themed open weekend at Acton Depot and a range of talks, including an appearance by textile designers Wallace Sewell.

As ever, our curators and information team answered thousands of enquiries. The team was ably supported by our volunteers and we are grateful to all our supporters and funders for enabling our many activities.

We were also delighted to secure renewed Arts Council England accreditation this year, recognising our status and high standards as a nationally significant museum collection.

PUBLIC PROGRAMME

We run a popular and exciting programme of talks, tours, exhibitions and evening events that help us enrich our engagement with audiences.

Exhibitions and Special Displays

Poster Parade: Reimagining Historic Posters
27 January – 28 April 2017
Exploring the classic poster designs that have inspired a new generation of artists.

Poster Parade: Sounds of the City
28 April – 28 July 2017
London Transport posters promoting and inspired by music in the city.

Sounds of the City
19 May – 3 September 2017
Association of Illustrators exhibition presenting artwork relating to London's music scene.

Poster Parade: The Flow of the River
28 July – 1 December 2017
How London Transport posters have illustrated and promoted waterside London.

Poster Girls: A Century of Art and Design
13 October 2017 – January 2019
A major exhibition exploring 20th and 21st century female graphic designers and their contribution to poster design.

Poster Parade: Christmas
1 December 2017 – 12 January 2018
Posters old and new relating to the winter and Christmas season.

Poster Parade: Myths and Fairy Tales
12 January – 30 March 2018
Exploring themes of mythology, fairy tales and the wonders of nature in the Museum's poster collection.

Poster Parade: At London's Service
30 March – 15 June 2018
Focusing on the role of women in London's transport story, including in the two world wars.

The Secret Life of a Megaproject
23 March 2018 – January 2019
Highlighting the work of the Crossrail project on the forthcoming Elizabeth line.

Hidden London

55 Broadway – London's First Skyscraper
April 2017 and March 2018
An exclusive tour inside London's first skyscraper, London Underground's headquarters and Grade I listed structure over St James's Park Tube station, now considered a marvel of Art Deco London.
Charing Cross – Access All Areas
September and October 2017

An exploration of the disused and top-secret areas of Charing Cross, some of which have been used for TV and movies such as *Skyfall* and *Paddington*.

Clapham South – Subterranean Shelter
October 2017 and January – March 2018
A visit down 180 steps underground into this deep-level shelter, one of eight across London, where Londoners sheltered during the Second World War.

Clapham South – Subterranean Screenings
October 2017 and January – March 2018
Visitors were invited to journey 180 steps underground and watch a bespoke film, with first-hand oral histories, cartoons and archive newsreel, curated by London Transport Museum.

Down Street – Churchill's Secret Station
June – July 2017 and February – March 2018
An intimate look into one of London's most intriguing hidden spaces which was closed to the public in 1932. Visitors discovered how this station was transformed and became critical to winning the Second World War.

Euston – The Lost Tunnels
April – May 2017 and January – March 2018
A journey into the station's history through former passenger corridors adorned with posters dating back to the 1960s. Visitors enjoyed the unique architecture and style of these lost tunnels at one of the UK's busiest stations.

Euston – The Photography Tour
May, July, September, December 2017 and February – March 2018
Especially designed for keen photographers who want the opportunity to access these exclusive spaces to get the perfect shot of Euston's heritage features.

Highgate – Wilderness Walkabout
August – September 2017
A station reclaimed by nature. Planned to be a bustling railway interchange, visitors could find out why it now lies as an urban wilderness home to protected species.

Family Activities

Singing and Stories for Under 5s
Tuesdays during term-time at 10:45, 12:00, 13:45 and 15:00
Sessions include singing and dancing, as well as the chance to see and touch objects from the Museum collection.

LTM Early Explorers - SEN mornings at the Museum
28 October 2017 and 7 April 2018
Sessions for younger visitors with Special Educational Needs (SEN) to enjoy the Museum at a time when many of the sounds in the Museum are switched off, making it a peaceful and fun place to visit.

Underground Explorers
11 – 19 February 2017
Storytime and constructive play with engineering and tunnelling themes.

Journey Makers
1 – 17 April 2017
Storytelling and make and take sessions for the Easter holidays based around London journeys.

Sounds of the City
27 May – 4 June 2017
Dancing and family fun spotting images from the Prize for Illustration 2017 *Sounds of the City* exhibition.

Be Safe week
8 – 12 August 2017
Workshops and activities delivered in partnership with Metropolitan Police, London Fire Brigade, British Red Cross and RNLI Lifeboats.

Acton Depot Events

Acton Depot Open Weekend: Secrets of the Underground
22 – 23 April 2017
Exploring the secret and unexpected places of the Underground, with stories of engineering genius and hidden gems from the past. Visitors of all ages enjoyed activities exploring tunnelling, and discovered our unique collection of vintage vehicles, transport ephemera and poster art and design.

Acton Depot Open Weekend: London Uncovered
23 – 24 September 2017
A jam-packed weekend celebrating great design, with a special look at how design details and textiles make the London transport system unique. From stories about the making of moquette to tours of the Museum Depot's stunning art and poster collection, visitors uncovered how the creative design process is brought to life. With talks, interactive displays, bite-sized tours, family activities and more.

Cab It!
27 June 2017, 1 July 2017, 5 August 2017, 2 September 2017
Visitors could get into the driver's cabs of a variety of Underground trains ranging from 1940 to 1983.

Depot explorers: family tours
Various dates between 31 May 2017 and 25 October 2017
Behind the scenes tours for families with children, discovering some of the secrets behind our fascinating collection.

Station Architecture Tours

Station architecture tour: Holden goes west
3 June 2017
Exploring the stations Charles Holden designed along the Piccadilly line.

Station architecture tour: Jubilee line extension
24 June 2017
Focusing on the contrast between Charles Holden's design legacy and newer stations.

Station architecture tour: To town to-night
2 September 2017
Examining the surviving architecture of London's earliest 'main line' suburban stations

Workshops

Museum Makers: Wild City with London Terrariums
25 May 2017
Terrarium workshop designed to celebrate nature around railway tracks and in tunnels.

Museum Makers: Illuminate London with Ellbie Co. and London Craft Club
22 June 2017
Neon-style sign workshop, creating artworks inspired by the city.

Museum Makers: Moquette Christmas Crackers with Zeena Shah
7 December 2017
Crafting bespoke Christmas crackers inspired by moquette patterns.

Talks / Lectures

A Tunnel through Time
6 April 2017
From the largest construction project in Europe, to engineering achievement – Crossrail has been at the forefront of London's story since 2009. Author Gillian Tindall brought her infectious love of London history to the stories and marvels uncovered from the London soil during the Crossrail project.

The Great Escape: A History of Day-tripping
4 May 2017
Part of the Leyland buses appeal and marking our acquisition of the 1914 charabanc, LTM Fellow Oliver Green discussed how newly affordable, efficient transport paved the way for the great British day-trip.

AOI Panel Debate: Self Promotion
11 July 2017
Panel discussion led by the Association of Illustrators, with an illustrator, a commissioner and an agent talking about self-promotion – from the role of awards to using social media, developing your own website and other less mainstream approaches.

All the Stations
24 October 2017
In June 2017, Geoff Marshall and Vicki Pipe embarked on an epic journey to visit all 2,563 railway stations in England, Wales and Scotland. We welcomed them back to London at this special event, where guests enjoyed the chance to find out more about their adventure.

Design Connections
7 November 2017
Textiles design duo Emma Sewell and Harriet Wallace-Jones of Wallace Sewell in conversation with Robert Elms about their iconic moquette fabrics for TfL and the inspirations and thinking behind their designs as they reach their 25th anniversary year.

Restoring the Chocolate Express with Mike Sutcliffe
21 November 2017

Leyland Motors conservator Mike Sutcliffe MBE on the intriguing past of the Chocolate Express and its restoration journey.

A Room of One's Own
25 January 2018
An illustrated journey through our latest exhibition, *Poster Girls*, with an accompanying narrative bringing the artworks to life. Historian and LTM Research Fellow Oliver Green, with author Susannah Walker and Central Saint Martins Lecturer Ruth Sykes, revealed the historical and social context of the times in which our key designers were producing their work.

Make your Voice Heard
22 February 2018
Marking the centenary of the Representation of the People Act 1918, Nicky Hilton of the Bishopsgate Institute asked how much has been achieved in the campaign for equality for women. With tales of Victorian troublemakers, Suffragette tea-sets, and a plethora of fabulous placards from the London Women's March in 2017.

Heritage Vehicle Events

London Bus Museum Spring Gathering
9 April 2017
Routemaster RM1 and our gold-painted RT-type bus RT4712 on display at Brooklands.

Historic Commercial Vehicle Society London-Brighton Run
7 May 2017
Bristol single decker BN61 in the annual run for historic commercial vehicles.

Route 406 Running Day
18 June 2017
Routemaster RM2 ran journeys on route 406 Kingston-Epsom and to Tattenham Corner.

London Bus Museum Summer Event
25 June 2017
Prototype FRM-type Routemaster FRM1 appeared at Brooklands, marking its 50 year anniversary of entering service.

East Anglia Transport Museum
8 – 9 July 2017
1953-built single decker GS64 and 341X conducted demonstration runs.

Cart Marking Ceremony
12 July 2017
Newly acquired 1914 Leyland charabanc at the annual ceremony at the Guildhall, London for 'branding' by the Worshipful Company of Carmen.

Epping Ongar: London Transport Weekend
15 – 16 July 2017
In partnership with the Epping Ongar Railway, we curated a pop-up London Transport Museum marquee during their London Transport Weekend. We were on hand with creative family activities, as well as offering a selection of Museum gifts and products for sale.

Biggin Hill Festival of Flight
19 – 20 August 2017
Battlebus B2737 helped mark the centenary of this First World War aerodrome.

ImberBus
26 August 2017
Single-decker GS64 on display at Imber.

Vintage Summer Steam
9 and 10 September 2017
Guests could journey on the Metropolitan No.1 steam locomotive between Amersham and Harrow-on-the-Hill, while Routemaster RM2 and BN61 conducted 22 round trips between them. There were also costumed characters, a pop-up vintage tearoom and the Susie Qs, a 1940s close-harmony trio.

Severn Valley Railway
10 September 2017
Leyland charabanc took part in the 'On the Buses' rally.

School visits
19 – 20 September 2017
Battlebus B2737 paid visits to primary schools in Tottenham and Camberwell.

British Motor Museum
25 September – 1 October 2017
Battlebus B2737 on static display at Gaydon for the BMM's First World War week.

Route 31 Running Day
9 October 2017
1990-built Dennis Dart single decker DW15 ran this route in West London.

London Bus Museum Transportfest
22 October 2017
AEC Mercury Tower Wagon service vehicle 89Q, Fordson industrial tractor 351X and Dennis Dart DW15 attended Brooklands.

Red Arrow event
14 December 2017
1969-built single decker MBA582 operated the 500 (Victoria-Oxford Circus) and 507 (Victoria-Waterloo) routes for public service, with a static display at Waterloo.

Christmas Roundabout Tour
21 and 22 December 2017
Narrated vintage bus tour taking in London's spectacular light displays and illuminated landmarks.

Epping Ongar Railway
18 February 2018

MBA582 and FRM1 both attended this popular event.

Friday Lates

Friday Late: Sounds of the City
19 May 2017
Launching our new exhibition, The Prize for Illustration 2017 *Sounds of the City*, we explored the world of urban sounds. Visitors experienced a programme of talks, interactive workshops and fun activities about the music, noises, language and sounds that exist in our cities.

Friday Late: Come Out to Play
14 July 2017
Inspired by the *Sounds of the City* exhibition, a look at London's iconic entertainment scene.

Friday Late: Poster Girls
13 October 2017
Launching our *Poster Girls* exhibition, shining the spotlight on female artists and designers.

Friday Late: Bright Young Things
9 March 2018
Celebrating girl power in the Golden Age and the era's iconic art movements.

ShapingLDN and Late Debates

Debating a Driverless Future
20 April 2017
An afternoon debate on the social and cultural impact of autonomous vehicles on people, organisations and city environments. The event was delivered in partnership with the RCA and linked to the *Driverless Futures* exhibition in the Museum's Designology Studio space.

Memories in Motion: our sense of place in the ever-changing city
13 June 2017
A panel debate exploring the role of transport past, present and future in building the memories of Londoners. With experts from the fields of architecture, urban development and transport design, we looked at how transport architecture and infrastructure can impact what and how we remember and behave. Part of the London Festival of Architecture 2017,

Intelligent Mobility Hackathon
12 July 2017
London Transport Museum hosted the IMCreate Intelligent Mobility Hackathon showcase as part of ShapingLDN. The event included pitches from winning start-ups in transport and welcomed coders, business thinkers, technical experts and designers from academia and industry to explore and debate the next big ideas for transport.

Technology and the Future
29 November 2017
A Late Debate exploring emerging technologies and how they might reshape the way we live, work and travel. Visitors and guest organisations explored what's on the tech horizon, from driverless cars and delivery drones, to apps, maps and virtual reality.

Women of the Future
8 February 2018
A festival-style event at the Museum, celebrating and championing women's contribution to society over the past 100 years and debating the progress we are making towards equality in the 21st century. Guests enjoyed an evening of talks, debates, immersive experiences, comedy and workshops, as well as networking in the Futures Market Place.

INCOME AND SUPPORT

The Museum's charitable work depends on income generated by commercial activities, fundraising and marketing, and the generous donations of time and money made by volunteers, sponsors, LTM Friends and many other supporters.

London Transport Museum (Trading) Limited

The Museum's trading function operates retail, venue hire and other commercial activities to provide funds for the Charity. In 2017/18, turnover was slightly lower than last year at £4.3m (2016/17: £4.4m), but lower operating expenses meant that profit was higher at £1.0m (2016/17: £0.8m). All profits were distributed to the Museum by way of Gift Aid.

Covent Garden shop

A strong performance saw sales increase by 9 per cent this year, aided by a more strategic approach to buying and a focus on exclusive toys aimed at the Museum's family visitors. The redevelopment of the shop over the last year also helped to grow sales by opening out the retail space, making it brighter and much more flexible. A high-quality exhibition catalogue was produced to support the *Poster Girls* exhibition, along with a beautiful collection of associated gifts that have proved popular with shoppers.

The Museum's Hidden London programme also inspired a range of products. Designs were created based on the beautiful, historic tiling patterns of disused stations. When applied to ceramics, tea towels and giftware, these products were in high demand at Christmas and became bestsellers both in store and online.

Online shop

Despite a small increase in turnover, the online shop did not perform as well as we would have liked this year. This was partly due to the late launch of the online print-on-demand poster service, which was affected by the change to a new web shop service provider in 2016/17. We restored full functionality in November 2017 and we now have over 4,000 posters available as high resolution images on the web, with links from the Online Museum poster collection pages. Posters can be ordered in a wide variety of size and frame options, and we saw print sales grow by 24 per cent this year, accounting for almost 20 per cent of total online sales.

Other significant areas of growth for the online shop were books and design-led gifts including many exclusive products commissioned by our in-house team.

Venue hire

With the Cubic Theatre out of action for some time for refurbishment, turnover was down by eight per cent. Nevertheless, the Museum still hosted 270 events and welcomed more than 15,000 guests in 2017/18. A festive celebration for 500 US Embassy delegates was our largest event, and we were also delighted to host Liverpool FC's annual fundraising dinner, an exclusive event for EDF Energy, and T-Mobile's Breakthrough Awards. Stepping away from traditional event formats, the Museum also played host to a hackathon and a themed evening in conjunction with Record Store Day.

In December 2017, comedian and writer David Walliams delighted young visitors to our Cubic Theatre with an in-character reading of his children's book *Ratburger*. The event was booked by Sky, and we are optimistic that we will be able to attract similar business in future, now that we can offer the upgraded technology installed in the Cubic Theatre.

Acton Depot provided the perfect background for a variety of film and photography projects this year, most notably for a BBC adaption of Ian McEwan's novel *The Child in Time* starring Benedict Cumberbatch. The Depot also featured on ITV when Jason Manford presented a section of the programme *What Would Your Kid Do?* from Acton.

Marketing
We undertook marketing and promotional campaigns for all aspects of the Museum's activity, including an enhanced Christmas campaign aimed at positioning the Museum as a fantastic place to find fabulous Christmas gifts and fun activities. Our overall media 'reach' this year was 116,000 people.

In 2018 we worked closely with Transport for London on the Mayor's #BehindEveryGreatCity campaign, marking the centenary of the 1918 Representation of the People Act, which gave some women the right to vote for the first time. The campaign highlights the roles and achievements of women in society today. The Museum's contribution included launching the *Poster Girls* exhibition and a 'Women of the Future' Late Debate at which the Deputy Mayor – Culture and the Creative Industries, Justine Simons OBE – gave a keynote speech. We also hosted two live radio broadcasts by the BBC World Service as part of the BBC 100 Women campaign.

In 2018, we are also actively involved in the Year of Engineering, an important part of the Government's Industrial Strategy. It is helping to boost engineering across the UK and ensure that the country has the skills and knowledge to drive a thriving modern economy. As part of the initiative, activities are taking place to encourage young people to learn more about engineering and to promote engineering careers – a subject closely aligned to the Museum's charitable purpose. We held a Year of Engineering press preview in March 2018 to launch the Digging Deeper gallery and the *Secret Life of a Megaproject* exhibition, and we were delighted to welcome Jo Johnson MP, Minister of Transport and Minister for London to the event. We are continuing to mark the Year of Engineering throughout 2018 with new galleries and special events.

Social media and email are essential ways of communicating with our visitors and supporters. Although the number of contacts on our email distribution list fell by 12 per cent this year as we reviewed it in advance of GDPR, we are pleased to have a strong database of 75,000 committed subscribers who want to stay in touch with us. On social media, we have increased our number of Facebook fans by eight per cent, Twitter followers by around 20 per cent, and are seeing rapid growth in followers to our Instagram pages. We recruited a new Head of Digital Marketing during the year and aim to deliver even greater growth in future.

Fundraising
Arts Council England (ACE) is an important supporter of the Museum, and our final year of ACE Resilience funding in 2017/18 enabled us to continue our sector-leading work with young people, apprentices and volunteers. We were delighted to become a National Portfolio Organisation with ACE this year, providing us with £1m of funding over four years starting in 2018/19. This will enable us to continue to develop our award-winning Young People's Skills programme, create a new documentary curation programme, build excellence in volunteering and introduce targeted STEM programming for the under-fives at the Museum Depot in Acton.

Other major funders included Heritage Lottery Fund who support the Battle Bus programme, and the Luke Rees-Pulley Charitable Trust and Biffa Award who both contributed towards the capital refurbishment of the Museum's galleries. The London Transport Museum Friends also remain a significant supporter, providing funds for many Museum projects each year.

The Leyland buses appeal concluded this year having generated £112k towards the £300k purchase price of three vehicles. We are grateful to everyone who contributed to the campaign, particularly the London Transport Museum Friends.

TfL hosted the 12th annual Fundraising Dinner and auction at the V&A in November 2017. Over 350 transport industry guests gathered to support our Museum and hear from keynote speakers, Sadiq Khan, Mayor of London, and Commissioner of Transport for London, Mike Brown MVO. A lively charity auction was overseen by James Knight from Bonhams, and in total the event raised over £286,000 for the Museum

Corporate support

The important relationships that we have with our corporate partners help sustain our charitable work, and we have many long-standing supporters to whom we are very grateful. Cubic Transportation Systems and Exterion Media once again lent their names to two key Museum spaces this year – the Cubic Theatre and the Exterion Media Gallery, while Siemens continued their funding of Inspire Engineering for a third year and pledged their support to the programme for a further year throughout 2018. Clear Channel completed their three-year Transport Poster Art programme, and Gowling WLG and Thales continued to sponsor Interchange, the Museum's thought leadership programme.

Having chronicled its progress for several years, we staged our fourth exhibition about the Crossrail project this year. *The Secret Life of a Megaproject* opened as part of The Year of Engineering and uncovers lesser-known stories about the Crossrail project, now in its final phases before opening as the Elizabeth line. Content and financial support were made possible thanks to Crossrail, and elsewhere in our galleries visitors were also able to learn about the exciting prospect of Crossrail 2, another important cross-London rail project currently in development.

Our support for the Year of Engineering began in January 2018 with the launch of the Digging Deeper and Crossrail exhibitions, and we have a programme of activity planned for the year made possible thanks to support from Bombardier, Cubic Transportation Systems, Jacobs, Mastercard, Microsoft and Mott MacDonald.

Enjoyment to Employment (E-to-E) is the name given to the programme which aims to turn childhood enthusiasm for transport into careers in industry, and depends upon our supportive and engaged partners. Costain, Hitachi Rail Europe and telent continued their support of E-to-E this year, and we welcomed new partners Bombardier, Mastercard and TfL. Benefits for sponsors include participation in the E-to-E Steering group, staff volunteering opportunities and the chance to recruit apprentices at our Skills Late events. We are pleased to see that the programme is becoming firmly established as a key part of the industry's collective response to skills shortages in transport and engineering.

Volunteers

A team of more than 360 enthusiastic and knowledgeable volunteers donated over 23,000 hours to support the work of the Museum this year. Volunteers delivered tours at Acton Depot, welcomed visitors to Covent Garden, supported object handling and family activities, vehicle excursions, Hidden London and many other aspects of our operations. We are grateful to all of them for their commitment and expertise.

As part of our volunteering strategy we have been steadily improving our policies, procedures, training and induction for volunteers and managers at the Museum over the last few years. We were very pleased therefore to achieve Investing in Volunteers (IiV) accreditation in 2017, which is the UK quality standard for good practice in volunteer management. Accreditation lasts for three years and is an integral part of our commitment to volunteering.

This year we also delivered our first volunteering conference, a one-day event titled Volunteering - Past, Present and Future which included presentations, case studies and workshops promoting the benefits of strategic thinking and long-term planning for using volunteers. With guests from the museum and cultural sectors, we explored what LTM has achieved so far and where we aim to be in the future. The event was made possible with support from ACE, and allowed us to share knowledge and experience with other organisations on volunteer strategy, IiV accreditation, and best practice in working with volunteers.

London Transport Museum Friends

London Transport Museum Friends (LTMF) is an independent registered charity (no. 285108) with no legal link to LTM but which supports the work of the Museum. There are around 3,000 individual members of the Friends, many of whom are also volunteers for the Museum. The Friends provide substantial financial support to the Museum across a broad range of projects. During 2017/18, the Friends donated £112,000 which helped to support the Leyland buses appeal, the Q stock restoration project and a number of other packages of curatorial and conservation work. The Friends also help administer the payment of volunteer expenses.

The Friends supported an innovative library project this year which has pioneered a different way of working with volunteers. Using the Friends newsletter, the library team recruited volunteers based at home who could help index journal literature. After training at Covent Garden, they began working remotely, adding abstracts of journal articles to the Museum's database. The project is working well and provides a different kind of opportunity for knowledgeable supporters to contribute to our work.

The Friends also hosted the annual conference of the British Association of Friends of Museums at LTM in September 2017. Drawn from groups around the country, attendees discussed issues affecting the relationships between Friends groups and museum professionals. The successful LTM/LTMF relationship was held to be a sound and positive model.

London Transport Museum Friends have an active programme of transport-themed events and tours for their members. For more information visit the website: https://www.ltmuseumfriends.co.uk/

INTERCHANGE

Our thought leadership programme, Interchange, is an exclusive benefit of the Corporate Membership scheme. The programme brings together senior transport industry professionals, leading academics, politicians and policy-makers to share cutting-edge ideas about transport and urban planning.

The Interchange programme achieved a key milestone this year with the publication of its first report, *Rethinking Urban Mobility*, which was produced as a collaboration between LTM, programme sponsors Gowling WLG and Thales, and research partners Arup. The content of the report was generated during four Interchange events in 2017 which included input from 60 individuals from over 40 transport-sector organisations. At a series of roundtable discussions, our guests were asked to consider the challenges facing urban mobility by addressing three crucial questions:

1) What role should cities play in shaping change?
In the first event of the series, discussion centred around five interlinked topics: cities, regulation, user data, future wants/needs, and technology. We discussed the 'big trends' which are disrupting the transport landscape including electrification, new business models and new market entrants. We discussed how separation between public and private transport will become less clear in an integrated service economy, and questioned whether the evolution of mobility systems should be led by the market or by policy and regulation. As new entrants such as Uber have shown, the relationship between innovation and regulation is not always an easy one.

2) How will demand responsive transport impact urban systems?
Demand responsive transport (DRT) has the potential to disrupt established transport systems and help tackle important problems. We asked how transport operators should engage with ride-sharing and DRT services. Do they continue to manage 'point-to-point' routes or be responsible for a user's whole journey from door-to-door? It was argued that the hard constraints of Tube and bus capacity mean DRT may only affect a small percentage of journeys and will simply improve existing mobility ecosystems, rather than create a new one.

3) Do the economic fundamentals of urban transport systems still add up?
Transformational change in mobility is likely to disrupt the economics of urban transport. Can investment meet the challenge of maintaining a commercially-viable mass transit system in a future that includes DRT fleets and low-cost autonomous vehicles? Our attendees discussed the changing competitive dynamic of private companies that can disrupt transport with low cost assets such as bikes and third-party vehicles. They also considered the potential for technology to open-up new or under-served areas of the city without the need for mass transit investment, which could in turn unlock private sector capital.

A workshop was also held to bring the threads together and help shape the final report. Capturing the essence of the discussion sessions, *Rethinking Urban Mobility* dedicates a section to each question, examines evidence and related trends, identifies key uncertainties and importantly, outlines a vision of what 'good' looks like for the future. The report was launched in February 2018 and was well received by both industry colleagues and the media. We are grateful to the transport professionals, leaders and decision makers who gave their time and expertise to the project, and in particular to our panellists at the events: Richard Bruce (Department for Transport), Lilli Matson (TfL), James Nettleton (InMotion Ventures), Dr Ron Oren (Transport Systems Catapult), Professor Tony Travers (LSE London), Mike Waters (Transport for West Midlands), and Helena Zaum (Microsoft).

Download the full report here: www.ltmuseum.co.uk/urbanmobilityreport

Two other topics featured in our Interchange programme this year. At an event in May, Rob Brighouse (Chair, East West Rail Review) and Dr Peter Hansford (Professor of Construction and Infrastructure Policy at UCL) led a discussion around the possibility of private sector finance for an Oxford to Cambridge railway line. This economic corridor is home to over 3,500,000 people and 175,000 businesses, but transport connections are poor and growth is constrained. The discrete nature of a direct line offers an opportunity for the private sector to design, build, finance, operate and maintain a railway which could be funded by both revenue and capture of the increased business and residential land values.

In November 2017, a debate led by Jane Fielding (Head of Employment Law, Gowling WLG) and Martin Bowen (General Group Counsel, Dyson) considered the implications of Brexit for access to suitably skilled engineering and transport workers. Attendees called for the government to act quickly to confirm its post-Brexit immigration policy, but recognised that STEM employers also need to be prepared to make their own investment in education and training through schools, academies, apprenticeships and sponsorship, and through engaging educators to help them understand the jobs and opportunities that are on offer.

If you would like to take part in our Interchange programme, email supportus@ltmuseum.co.uk or visit our website to find out more about Corporate Membership.

https://www.ltmuseum.co.uk/support-us/corporate/membership

CORPORATE MEMBERS

We are grateful to the following organisations for their support and enthusiasm.

Leader

- ABM
- Alexander Dennis
- Arriva London
- Balfour Beatty*
- Bombardier Transportation UK*
- Capita*
- Clear Channel*
- ComfortDelGro
- Cubic Transportation Systems*
- EPC
- FirstGroup UK Bus*
- Fujitsu*
- GB Railfreight
- Hitachi Rail Europe*
- M J Quinn*
- Marston Holdings
- MBNA Thames Clippers
- NSL*
- QBE
- Siemens*
- Skanska*
- Stadler Rail*
- Stagecoach*
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- Thales UK*
- Tower Transit Operations

Driver

- BAI Communications*
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- Briggs Marine*
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- Ericsson
- Eversheds Sutherland*
- Ferrovial Agroman
- First Class Partnerships
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- Morgan Sindall
- Mott MacDonald
- PricewaterhouseCoopers
- RATPDev*
- Sacker & Partners*
- Taziker Industrial
- Transport Planning Associates
- Trapeze Group
- Trueform Engineering
- William Cook Rail
- Wrightbus*

Honorary Corporate Member

- 4-RAIL Services

SUPPORTERS AND SPONSORS

Major Supporters

- Transport for London
- Heritage Lottery Fund
- Arts Council England
- DCMS Wolfson Museums and Galleries Improvement Fund
- London Transport Museum Friends
- Luke Rees-Pulley Charitable Trust

Museum Sponsors

- Exterion Media* – Exterion Media Gallery
- Cubic Transportation Systems* - Cubic Theatre and Foyer
- Clear Channel UK* - Transport Poster Art
- Gowling WLG* – Interchange thought leadership programme
- Thales UK* – Interchange thought leadership programme

LTM Futures Fellow

- Josef Hargrave, Arup*

Year of Engineering Partners
Digging Deeper Gallery Supporters

- Biffa Award
- Association of Independent Museums (AIM)
- Mott MacDonald
- London Transport Museum Friends

Future Engineers Supporters and Content Partners

- Bombardier Transportation*
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- Luke Rees-Pulley Charitable Trust
- Cubic Transportation Systems*
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Enjoyment to Employment

- Siemens* – Inspire Engineering
- Bombardier Transportation*
- Costain*
- Hitachi Rail Europe*
- telent Technology Services*
- Transport for London

Education Supporters

- Luke Rees-Pulley Charitable Trust
- Gwyneth Forester Trust
- Royal Commission for the Exhibition of 1851

*Thank you to all companies who purchased tables at the October 2017 Covent Garden dinner and auction, including: Ashurst, Alstom Transport, British Land, Herbert Smith Freehills, Interchange Group, Pinsent Masons LLP, Telefonica O2 & TXM Plant.

INDIVIDUAL SUPPORTERS

PATRONS CIRCLE

Since the inception of the Patrons Circle in February 2014, Patrons have made a significant contribution to a range of projects that help achieve the Museum's charitable aims.

The loyalty and support of our Patrons has generated over £85,000 (excluding Gift Aid), and in return for their generosity, Patrons are invited to participate in a rich programme of events. A major highlight this year was an exclusive tour to see the £1bn Northern Line Extension to Battersea which will change London's transport landscape. Patrons were given special access to view the decommissioned Battersea Power Station and journeyed deep underground to see one of the two tunnel-boring machines which are carving out the extended Tube line.

Other programme highlights for 2017/18 included:

- Private evening viewing of the Crown Jewels at the Tower of London
- Overnight track walk through Brunel's Thames Tunnel
- A ride on our 1914 charabanc during the Cart Marking ceremony at Guildhall and luncheon in the Great Hall
- Private Director-led tour of the Government Art Collection
- An immersive after-hours ride on Mail Rail

Our appreciation goes out to all our Patrons:

Mark Allatt
Ian Arthurton
Sir David Bell
Michael Binyon
David Brown
David Buck
Paul Butler
Roger Cooke
Steve and Melanie Edge
Martin Elms
John Farrow
Phil Fortey
Jeremy Fraser
Sir Peter Hendy CBE
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Ken and Daphne Lousvet
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Paul Ross
Paul Sainthouse
John A. Self OBE
Jaspal Singh
Mike and Pat Sutcliffe
Phil and Caroline Swallow
Tony Vroon
Richard West
Nicholas Woolf
Mark Yexley

We are equally grateful to those Patrons who prefer to remain anonymous.

Leyland buses appeal

Thanks to all those who supported the Leyland buses appeal, in particular Clive Bentley, Andy Griffiths and the London Transport Museum Friends.

1924 Club

The 1924 Club was formed to maintain relationships with individuals that have been instrumental in the work of the Museum.

Our sincere thanks to:

- Sir David Bell
- Roger Cooke
- Richard Rees-Pulley
- Steve Shewmaker
- Brian Staines

FINANCIAL REVIEW

2017/18 was another year of substantial activity despite reductions in both income and expenditure. With annual core funding reduced by £0.6m from 2016/17, we embarked on a five-year plan to rebuild financial sustainability, funded by reserves. The Museum more than achieved its target this year, making an operating deficit of £1.3m against a planned £2.2m deficit, and delivered £0.8m of capital improvements against a planned £0.8m, establishing a base for growth in future years. Largely because of the above, general reserves grew by a net £0.3m against a planned draw on these funds of £0.5m.

The Museum ended the year with funds carried forward of £30.0m (2017: £31.2m) after recording an operating deficit of £1.3m (2017: £0.3m). Some 75 per cent of the Museum's total funds is made up of the £22.4m Capital Fund (2017: £23.3m) which represents the book value of the Museum's fixed assets rather than liquid funds readily available for use. £5.5m has been set aside in a series of designated reserves (see below) and the Museum has £1.4m of general reserves.

TfL is the Museum's single largest supporter, providing both grant and project funding, and offering essential services such as finance, payroll and HR at no charge to LTM. The TfL revenue grant is going through a phased reduction from £6m in 2010/11 to £3m in 2019/20, and this year we received £3.8m (a reduction of £0.6m from 2016/17), plus TfL Project Grant of £0.2m (2016/17: £0.8m) which was invested in a substantial upgrade of the Cubic Theatre which will in turn enable greater venue hire income to be generated.

The Museum has a wide range of funding sources, but most of these are currently under significant pressure, and total income was down by 13% compared to the previous year. The largest reductions were the TfL Core grant (£0.6m), TfL Project Grant (£0.6m) and our TfL-funded Safety and Citizenship Programme (£0.3m).

Although admissions income rose, Gift Aid decreased because last year we had cleared an outstanding backlog of claims leading to a larger than usual value in 2016/17. Other significant charity funding sources include Arts Council England £0.3m (2016/17: £0.3m), the London Transport Museum Friends £0.1m (2016/17: £0.1m) and the Hidden London tours programme which generated less turnover but at a lower cost therefore maintaining a £0.2m surplus. The annual fundraising dinner returned to its normal autumn schedule after last year's changes when two events led to a higher surplus in the 2016/17 accounts. Funding for the Battle Bus project at £68k (2016/17: £135k) and some of our youth work were lower than in the previous year but where grant income relating directly to specific activities is reduced, we also reduce the level of activity (and consequently expenditure) to limit the effect of diminished revenue.

The charity also benefits from the profit made by London Transport Museum (Trading) Ltd which turned over £4.3m this year and contributed £1.0m profit (2016/17: £0.8m). It was a year of consolidation for our trading activities, being the first full year of the contract with our new web shop provider, our new catering concession and the operation of the refurbished shop. Due to the temporary closure of the Cubic Theatre, some venue hire revenue was lost this year and there was a 6% reduction from the prior year. The general economic uncertainty has affected corporate confidence and made an impact on our membership and sponsorship income streams, which is reflected in the results.

On the expenditure side, total costs decreased by 7% this year which was due, in part, to tighter cost control and vacancies in our trading operations which accounted for £0.4m of the reduction. This included the closure of non-profitable pop-up shops (£0.1m cost reduction from 2016/17) with the remainder of the decrease due to a switch of suppliers for the print-to-order facility, outsourcing webshop fulfilment and savings associated with vacancies. A reduction in Safety and Citizenship Programme income resulted in reduced activity and therefore lower spend (£0.2m) which accounts for most of the decrease in

expenditure on Education and Engagement expenditure. Expenditure on Heritage and Collections activity reduced from the prior year but this was offset by substantial capital expenditure on the Museum's galleries and which is taken directly to the Balance Sheet. A one-off reduction in utility costs (£0.2m) reduced our Premises and Facilities costs, and this saving has been allocated across our charitable activities (see Note 8 in the Financial Statements).

RESERVES

The reserves policy, including target levels, designations and the reasons for holding reserves, is reviewed regularly, considering the Museum's plans, funding and general financial position, and having due regard to the guidance issued by the Charities Commission. The policy is reported to stakeholders via the Annual Report.

The charity has three types of reserves:

(i) General reserves are unrestricted funds which provide working capital and help deal with unplanned and unexpected expenditure or loss of funding.

(ii) Designated reserves are unrestricted funds set aside by the Trustees for a specific purpose.

(iii) Restricted reserves are reserves which have been created when donors or funders restrict the use of funds for a particular purpose.

The Museum has no endowment funds. We are aware of initiatives such as the HLF Catalyst programme, which encourages organisations to develop endowments through matched funding, and should such programmes be repeated in the future we would be keen to explore these kinds of opportunities.

Reserves Policy

During the year, the Reserves Policy and the level of reserves were reviewed in light of the latest Charity Commission guidance, and taking account of the current and projected financial position of the Museum. In particular, a risk-based approach with a target range on general reserves has been adopted as policy.

General reserves

General reserves (i.e., 'free reserves' or 'general unrestricted funds') are funds not designated or restricted to a particular purpose, nor represented by fixed assets. In assessing the suitability of the adequacy of the level of free reserves, the Trustees have had regard to the Museum's diverse income streams, cashflow requirements, the level of other designated funds, the organisation's operational risks and the importance of TfL funding and support in the context of the Museum as a subsidiary company of TfL. An assessment has been made of the risk associated with each of the Museum's income streams in the short to medium term, considering the certainty of the income, the targets for growth and the likely level of fluctuation that could occur. Expenditure has also been examined to identify the risk of potential increases. From this, a target range of £1.1m to £2.3m was arrived at. The current level of general reserves is £1.4m (2016/17: £1.1m) and we are confident that this level is adequate.

Designated reserves

It is the Trustees' policy to designate reserves for three main reasons:

- To enable the Museum to plan for major exhibitions and educational programmes, in advance of securing external sponsorship or other funding, by setting aside funds to cover the cost of such activities should external income not be forthcoming.
- To contribute towards the cost of asset renewals and other future capital expenditure associated with the Museum's premises, facilities and fixed assets.

- To support the Museum's strategic development plans, in particular the need to develop the Museum's gallery offer, and to invest in and grow the income generating aspects of the charity in order to offset reductions in funding and generally ensure the Museum remains financially sustainable.

It is the Museum's policy to set a target level for each designated reserve and to assess the level of each reserve annually.

As at the end of 2017/18 there is £28.0m (2016/17: £29.4m) of reserves set aside in four key designated funds. The largest of these is the Capital Fund which, at £22.4m (2016/17: £23.3m), represents the net book value of the Museum's tangible fixed assets. The majority of these assets transferred to LTM from TfL on 1 April 2008. At that time, reserves equivalent to the balance sheet value of the assets were set aside in a designated fund as they do not represent funds readily available for other purposes. The Capital Fund is adjusted to include the value of asset purchases and disposals, and is written down annually by the value of the depreciation on the Museum's fixed assets. Transfers have been made in respect of the capital work undertaken this year to ensure that the Capital Fund represents the net book value of fixed assets.

Other Designated reserves

Future Exhibitions and Education Fund £0.5m
This Fund was established to give assurance that the Museum's next major exhibition can be delivered even if external sponsorship cannot be secured. This enables the Museum to plan ahead for long lead-time exhibitions and educational programmes by providing some level of cover for the costs of such activities. Fundraising lags behind expenditure and the Museum cannot wait until it raises all the funds for a project before committing to that project. The fund may provide cashflow for a project but will ultimately only be called upon to cover (at most) the gap between the cost of the project and the total external funding that is raised.

The target level for the Fund is set at £0.5m which is based on the full cost of one major exhibition and an associated education programme. There were no calls on this Fund in 2017/18 as the Museum's learning and exhibition programmes secured the necessary income to undertake planned activities. Each exhibition is a unique proposition, based on a different aspect of the collection and thus will appeal to different potential funders. Experience of successful fundraising for previous exhibitions is not necessarily a guide to the fundraising prospects for future exhibitions.

With the Hidden London exhibition planned for delivery in 2019, and the possibility of reduced funding for key learning activities, it is prudent to maintain this Fund at the target level.

Museum Asset Development Fund £1.1m
The Museum Asset Development Fund was established to set aside funds for repairs and renewals to the Museum's fixed assets, particularly the Acton Depot infrastructure and the 19th century listed buildings at Covent Garden. The Museum's capital expenditure needs are variable and although external capital grants are usually sought, they can be difficult to secure and are unlikely to meet project costs in full. Based on past experience of annualised capital renewals which averaged over £1m p/a, the target range for this Fund has been set at between £1m and £2m, with the expectation that it is likely to vary between years. During 2017/18, the Fund provided £0.4m towards the Museum's capital investment, leaving the Fund at £1.1m.

The Museum Strategic Development Fund (MSDF) £3.9m

This Fund was originally created to help address the important strategic challenges facing the Museum and provide financial resources for the next major Museum refurbishment project in 10-15 years (the last being over £20m in 2005-2007). However, the five-year plan adopted during 2017/18 includes an intention to upgrade the Museum by investing smaller amounts in specific galleries and permanent exhibitions. This prevents the need for a disruptive Museum-wide refit as experienced in 2005-2007. External funds have been secured (and will continue to be sought) to support some gallery refits. A Gallery Masterplan exists to ensure that LTM's galleries are kept up to date and maintain a high-quality visitor experience by incorporating the latest interactive technologies and replacing worn out or ageing infrastructure. It is unlikely that the full costs of this programme will be met by external funders and it is intended that the Museum Strategic Development Fund will provide the balance of funding. Should the Museum need to relocate when the current lease arrangements come to an end, the capital expenditure associated with relocation will be considerable. The Museum Strategic Development Fund is therefore a long-term fund which aims to build up reserves to support a major redevelopment project within the next 30 years.

In addition, with the Museum facing a significant reduction in core funding over the next two years, it is expected that the Museum will incur operating deficits while we invest in the growth of income-generating activities. Where this cannot be funded from general unrestricted funds, it is intended that this development strategy also be funded from the MSDF. This was unnecessary in 2017/18 and will be reviewed annually in light of the progress of the five year plan.

During the year, the Digging Deeper gallery was refurbished at a cost of £0.2m. Funding of £0.1m was secured from Biffa Award, and the balance of £0.1m was met by a transfer from the MSDF, leaving it at £3.9m at the end of the year.

Restricted Reserves

The Museum has £0.6m (2017: £0.8m) of reserves in funds subject to restrictions.

The largest restricted fund is the Collections Development Fund (CDF) which was established in 2012 following the auction of 400 surplus posters. The Museums Accreditation scheme requires that the disposal of any collection object creates an obligation to spend the income in a way which benefits the remaining collection. Accordingly, the Collections Development Fund can only be used for acquisitions and conservation. In 2017/18, a marginal £7k was transferred to the CDF, with no new acquisitions and restoration activity during the year.

The Heritage Lottery Fund, Arts Council England and Luke Rees-Pulley Charitable Trust are all important supporters of LTM projects and programmes. Where the restricted funds supplied by these organisations only meet a proportion of project expenditure, transfers are made from general funds to meet the remaining cost. At the year end, we were awaiting the final receipt of funds for the HLF moquette project and have therefore chosen to leave this fund showing a deficit until the final settlement is made in 2017/18. Further details concerning restricted funds can be found in the notes to the financial statements.

Investment Policy

It is the current policy of the Museum to invest surplus funds in short-term cash deposits within the UK.

RISK MANAGEMENT

The major risks to which the Museum is exposed are regularly reviewed and the Trustees' risk management strategy includes the following actions:

- Periodic risk reviews by the Managing Director and Senior Management Team, overseen by the Audit Committee
- Regular consideration of risk by the Trustees
- Maintenance of the Risk Map and Risk Register
- Maintenance of systems and procedures to mitigate risks identified in the Risk Map and Risk Register
- Maintenance of procedures designed to minimise any potential impact on the Museum should those risks materialise
- Regular audits of Museum operations carried out by TfL's Internal Audit department

The Museum's key risks are identified as those with a potential impact that is rated 'High' or 'Very High', and which have a 'High' or 'Very High' likelihood of occurring. Three risks fall into this category:

- Reduction in admissions and retail income, or failure of income to grow sufficiently to meet the needs of the charity due to security concerns, weather conditions, the effect of GDPR on marketing, incomplete or unattractive product ranges for sale in our shop and café and sub-optimal shop/café environment
- Reduction in corporate based income, or failure of income to grow sufficiently to meet the needs of the charity due to potential loss of Corporate Members, Commercial Sponsors and Venue Hire Customers because of political and economic uncertainty around Brexit and lack of resource due to vacancies
- Refused, delayed or lack of exclusive access to TfL assets, given how reliant Hidden London, steam train tours and other activities are on these assets, and in turn how important income generated by such activities, particularly Hidden London, is to the achievement of financial sustainability

To mitigate these risks, the Trustees and/or Management Team have undertaken the following actions:

- Established a five-year plan for income growth including the development of Hidden London tours, expansion of online sales activities and marketing plans to attract a range of visitors
- Refurbished the Museum shop, developed new products and recruited a Head of Retail and Digital Marketing Manager along with pricing monitoring and promotions
- Begun the recruitment process for a commercial manager for Hidden London
- Opened the lower deck café and ice cream bar and worked closely with our caterer to improve café KPIs
- Worked closely with TfL to ensure GDPR compliance
- Undertaken a project to combine our fundraising customer relationship management system with our box office system, within the bounds of GDPR compliance
- Offered discounts to corporate members to ensure renewal and explored expanding other fundraising activities such as individual giving and legacy donations
- Renewed the Cubic Theatre audio visual equipment to protect venue hire and open new business opportunities
- Formalised a usage agreement at Clapham South for Hidden London and sought agreements/leases for disused stations
- Worked closely with TfL Commercial Development and group property
- Maintained a heritage and liaison regime for heritage vehicle operations

- Begun a cost reduction exercise against the five-year business plan, and established options for controlling future expenditure if income growth does not meet targets
- Set aside a prudent level of reserves to offset medium term deficits and provide funds for investment in income growth

In addition to the above, the Trustees are aware of the potential effect upon future heritage rail operations that may arise from new signalling technology on London Underground, and of the possible impacts upon heritage bus operation in central London following the creation of the Ultra Low Emission Zone. We are monitoring both situations and working closely with our partners and supporters at TFL to mitigate the potentially harmful effects to our operations.

ANNUAL REPORT OF THE TRUSTEES

HISTORY OF THE MUSEUM

The Museum can trace its roots back to the 1920s when the London General Omnibus Company (LGOC) decided to preserve a small collection of buses at Chiswick Works. The collection has grown and developed considerably since then, and is now at the heart of the world's leading museum of urban transport.

The earliest objects in the Museum collection include a B type bus and a faithful replica of George Shillibeer's original 1829 horse-drawn omnibus created in 1929 for the centenary celebrations of the first bus services in London. The London Passenger Transport Board (LPTB) inherited these vehicles and the rest of the LGOC collection in the 1930s. They subsequently added various railway and tramway artefacts, as well as other vehicles which had reached the end of their operational lives. The Museum of British Transport was opened in a disused bus garage in Clapham in 1963 to house the nation's transport collections, but this closed a decade later when the mainline railway items were set aside for a new National Railway Museum in York. The remaining artefacts became the 'London Transport Collection' but were left without a permanent home. Some of the vehicles had to be mothballed at operational bus garages and the rest were displayed at Syon Park in Brentford in Middlesex in conditions that were not ideal. The redevelopment of the former Covent Garden flower market provided a perfect opportunity to create a dedicated central London venue for the collection, and on 28 March 1980, the London Transport Museum was opened by HRH Princess Anne.

With just 1,000 items in our possession when the Museum opened, we now care for nearly half a million objects including trains, buses, trams, signs, photographs, posters, uniforms and other material. The collection was designated as being of national importance in 1997 and two years later we opened the Acton Depot in west London, the first publicly accessible museum store in the UK. Acton Depot is a dedicated site for housing and conserving items that are not on display at Covent Garden, and there are regular public tours and popular open weekends.

The Covent Garden building has been significantly refurbished twice since we moved in, with two further interior floors, a purpose-built lecture theatre, special exhibition galleries and multiple education spaces added. We now have an ongoing programme of investment to update the galleries and improve facilities for our visitors.

LTM became a registered charity in 2008, with a Board of Trustees and a clear remit to deliver public benefit. Our busy schedule now includes a programme of special exhibitions, late-night events, talks and debates, Acton Depot Open Weekends, bus and steam train operations, Hidden London tours of disused stations, and education activities that reach huge numbers of London school children each year.

STRUCTURE, GOVERNANCE AND MANAGEMENT

Legal status and governing documents

London Transport Museum Limited (LTM) is a registered charity incorporated on 6 February 2008 as a company limited by share. It is governed by its Memorandum and Articles of Association. Under the GLA Act 1999, Transport for London (TfL) has the power to provide and maintain a museum of transport artefacts, records and other exhibits. While it is common for charities to incorporate as companies limited by guarantee, the Transport for London (Specified Activities) Order 2000 requires TfL to carry out museum activities through a company limited by shares.

Under section 5.1 of the LTM Memorandum of Association, the property and funds of the Museum must be used only for promoting the objects and no dividend is payable to TfL.

LTM has a wholly owned subsidiary, London Transport Museum (Trading) Limited (LTMTL) which operates retail, corporate hire and other non-charitable activities to generate funds to further the Museum's objects. Under a Deed of Covenant, all the profits of LTMTL are distributed to LTM.

Organisation

The Museum is governed by a Board of Trustees, chaired by Keith Ludeman. The Board meets at least four times a year for formal business and once a year for a day of strategic review. Trustees also serve on various Board committees (see below) which meet regularly throughout the year. In addition, Trustees attend Museum events and activities, meet informally, and regularly visit other museums and heritage organisations to widen their knowledge and experience of the cultural sector.

Day-to-day management of the Museum is delegated to the Managing Director, Sam Mullins, and through him to the Senior Management Team (SMT), employees and volunteers. The SMT is made up of five Assistant Director (AD) posts, each with distinct functional responsibilities.

The Trustees and SMT as a group are collectively considered to represent the 'key management personnel' of the charity – i.e. those persons having authority and responsibility for planning, directing and controlling the day-to-day activities of the charity.

London Transport Museum (Trading) Limited is governed by a Board of Directors drawn from the Museum's Trustees and staff, along with a number of independent non-executive directors.

Trustees

There are up to thirteen Trustees of LTM, three of whom are nominated by TfL and may be members, officers or employees of TfL or the Greater London Assembly. The Managing Director of LTM is automatically a Trustee by virtue of his office, and there are up to nine independent Trustees unconnected with TfL. The Board has established a Nominations Committee to offer advice and make recommendations regarding the appointment of independent Trustees. We use personal recommendation and external search to recruit Trustees with expertise and experience that will support the strategy and operation of the Museum in areas such as community outreach, education, museum practice, commercial transportation, finance and governance, retail operations and public relations.

Trustees serve a three-year term following which they may be elected for another three years. The Articles of Association make allowance for a second extension of up to three more years in exceptional circumstances. Other than the Managing Director, who is an employee of LTM, the Trustees receive no remuneration, but TfL offers Trustees (and non-executive Directors of LTMTL) certain travel concessions. If these are not sufficient, Trustees may claim travel expenses for attending meetings.

There were some changes to the Trustees prior to the publication of this report:

Penny Johnson left the Board in September 2017 and we thank her for her service to the Museum.

Andrew Smith joined the Board in September 2017, and has taken on the role of chair of the Audit and Risk Committee. Andrew was a London-based partner at PwC until 2009 and since his retirement has been a trustee of a number of charities including Tullie House Museum and Art Gallery in Carlisle, and The Duke of Edinburgh's International Award Foundation.

David Worthington stood down in April 2018 after ten years' service to the Museum. David's design and retail experience made him an ideal choice as the first chair of London Transport Museum (Trading) Limited, and subsequently as a charity Trustee. Under his tenure, the Museum's commercial enterprises have grown considerably, generating funds to support our charitable activities. We wish David well in his new role as Chair of the River and Rowing Museum.

With David's departure leaving a gap for a commercially focused Trustee, we were delighted to welcome Marcus Arthur to the Board in April. Marcus is a senior executive with BBC Worldwide and joined the Board of Directors of LTMTL as Chair in June 2018.

At 31 March 2017, there were thirteen Trustees. More information and short biographies of the Trustees can be found on the Museum website:
https://www.ltmuseum.co.uk/about-us/governance

Trustee induction and training
New Trustees undergo an orientation programme to brief them on their obligations under charity and company law, the content of the Memorandum and Articles of Association, the committee and decision-making processes, the business plan and recent performance of the Museum. During their induction they are invited to spend time with the LTM Managing Director and meet senior staff, and are provided with relevant reference material.

Committees
The Board of Trustees has four committees:

- The Audit and Risk Committee assists and advises the Board of Trustees of LTM and the Directors of LTMTL on audit matters, oversees the relationship with TfL Internal Audit and external auditors, and oversees the Museum's risk management process. The committee's activities include detailed review of the Annual Accounts and consideration of Internal Audit Reports.
- The Finance Committee assists and advises the Trustees on issues relating to financial matters including financial objectives, financial strategy, budgeting and reporting. The committee reviews budgets and plans, and scrutinises performance information including management accounts.
- The Nominations Committee advises the Board on issues relating to the mix of skills represented by the Board, succession planning for Trustees, and Trustee recruitment. In particular, the committee makes recommendations to the Board regarding the appointment of independent Trustees.
- The Remuneration Committee reviews the level and structure of remuneration for the Chief Executive and other members of LTM's Senior Management Team on behalf of the Board. The committee also oversees matters related to the setting of the Museum's pay ranges and the annual pay review for all staff.

Relationship with TfL
When London Transport Museum Limited was established in 2008, a series of written agreements was put in place between TfL and LTM. These set out a framework for the continued provision and maintenance of the Museum, covering many aspects of the operation and funding of LTM, and the long-term relationship between the parties. Items in the Museum collection are subject to a loan agreement between the Museum and TfL.

As a wholly-owned subsidiary company within the TfL Group, the Museum has access to support and advice from other Group functions in areas such as accounting, taxation, property, marketing and contracts. The Museum receives substantial support from parts of the TfL Group such as Finance, Human Resources (HR), Internal Audit and Payroll. The Museum occupies premises which are owned or leased by TfL Group companies and is given access to TfL assets such as disused stations. Varying financial arrangements apply to the various Group services, many of which are supplied at no cost to the Museum. Further details can be found in the Notes to the Financial Statements.

The Museum generally adopts TfL's HR, Procurement and other policies unless a Museum-specific policy has been agreed by the Board and takes precedence. Examples of Museum policies include safeguarding, reserves, and sponsorship.

Employment policies
At the end of March 2017, the Museum employed 102 people.

The Museum is part of the TfL Framework for Consultation and Collective Bargaining. Pay negotiations for the majority of staff are conducted between the TfL Company Council for Collective Bargaining and the recognised trades unions which are the National Union of Rail, Maritime and Transport Workers (RMT) and the Transport Salaried Staff Association (TSSA). The Museum retains responsibility for the distribution of base pay budgets and the level and distribution of performance awards. As part of TfL's review of its Framework, LTM is seeking to devolve greater responsibility for consultation and collective bargaining to Museum management working with local TU representatives.

Pay and remuneration of the charity's key management personnel, (including the Managing Director but excluding the Trustees who are volunteers and receive no remuneration) is subject to the TfL Senior Management Reward Framework which uses base pay to recognise an individual's overall value to the organisation in relation to internal and external job markets, and performance awards to reward individual contribution within the overall context of organisational performance. The framework is underpinned by TfL's Performance Management and Competency frameworks, linking performance and behavioural assessment directly with pay and performance awards. Pay and remuneration of the charity's key management personnel is overseen by the Remuneration Committee.

As part of the TfL group, Museum staff receive certain staff benefits including free or discounted travel on public transport services operated by TfL. Staff are also entitled to join the TfL Pension scheme.

Charitable objectives and public benefit
When reviewing the Museum's aims, objectives and achievements, and in planning future activities, the Trustees of LTM have had due regard to the public benefit guidance published by the Charity Commission. We believe that LTM upholds the principles of public benefit against the two key aspects established by the Charity Commission:

(1) *Benefit aspect: That the Museum has beneficial purposes and that any detriment or harm that results from those purposes does not outweigh the benefit.*

LTM's purposes as a charity are to advance the heritage of transport in London and to educate the public about the history of transport in London through the provision, operation and maintenance of a transport museum for the public benefit. LTM also seeks to educate the public about the wide role of transport in the life and work of London past, present and future, and to help develop the skills and employability of our beneficiaries, particularly with regard to transport and engineering.

The Museum provides clear and identifiable benefits to the public in three categories of activity: access and museum operations, education and engagement, and heritage and collections. Details of our achievements in these areas can be found in the Strategic Report.

LTM does no harm or detriment through its charitable activities. The health and safety of staff and visitors are taken very seriously and the Museum operates safety management systems to reduce and manage risks. We seek to manage our impact on the environment and we use photovoltaic solar panels on the Museum roof to generate around 2 per cent of the annual electricity requirement.

(2) *Public aspect: That the Museum delivers benefits to the public in general, and that these benefits are not unduly restricted and do not give rise to more than incidental personal benefit.*

LTM delivers benefits to visitors at the Museum in Covent Garden and the Depot in Acton, to users of our website, and to school children and audiences across Greater London who take part in our educational, community and engagement activities at the Museum and elsewhere. Our audience development and community outreach work, our skills development work, and our employability programmes engage with people who would not normally visit museums and galleries, and help inspire the next generation of engineers and transport professionals. The Museum at Covent Garden is fully accessible and we welcome visitors on all but two days of the year. We run special early morning events for families with children who have special educational needs, and our schools' programmes run throughout term time.

Our visitors come from across London and the world. We take our heritage vehicles out onto the roads and rails, make historic disused stations publicly accessible, visit schools and work with local communities across the Capital. We also loan objects to other institutions to extend our reach and increase access to our collections. Our comprehensive, free online resources are available 24 hours a day and include access to information about exhibits in our gallery as well as thousands of objects not normally on public display.

Although the Museum charges admission fees, various measures are taken to ensure that charges do not unduly restrict access to the collection. These include free entry to the Museum for anyone aged 17 or under, for carers accompanying disabled visitors, and reduced admission charges for senior citizens, students and those in receipt of state benefit assistance. We also offer a community bursary programme. Most Museum admission tickets are valid for one year to encourage return visits and increase value for money for visitors. Many of the Museum's outreach programmes are free for participants. The Safety and Citizenship and Youth Travel Ambassador programmes engage with over 100,000 pupils each year and are delivered at no cost to the schools taking part.

Where the Museum delivers private benefits to individuals or companies, these are subject to appropriate commercial arrangements undertaken through a subsidiary company to generate funds for the Museum. No LTM or TfL staff receive private benefit other than in an incidental way and, with the exception of Sam Mullins who receives a salary in respect of his position as the Museum's Managing Director, the Board receive no payments for their role as Trustees of the Museum.

Safeguarding

London Transport Museum aims to promote opportunities for children and young people to engage with the richness of our collection, enjoy education and employment opportunities through the Museum and our wider transport community, and participate in the debate about the future of London.

At London Transport Museum, we are committed to excellence in the safeguarding of children, young people and vulnerable adults who engage with all our activities including our collections, programmes, education and employment initiatives. We believe that the welfare of children and vulnerable adults is paramount, and that all children and vulnerable adults, whatever their age, culture, disability, gender, racial origin, religious beliefs or sexual identity have the right to protection.

We will ensure that all concerns and allegations of abuse will be taken seriously and responded to swiftly and appropriately; and that our staff, volunteers, associates and Trustees will be trained and know how to respond to concerns raised.

London Transport Museum will promote a positive ethos of collaboration with children and/or vulnerable adults. We will take every reasonable step to ensure that all children and vulnerable adults engaged with our services are safe and protected.

We keep our Safeguarding Policy and procedures under regular review and this year we invited external experts to scrutinise our Safeguarding processes to ensure we exemplify best practice. A substantial training and communication exercise was also undertaken and we plan to roll out further safeguarding training, including a programme for Trustees next year.

During 2017/18 a safeguarding disclosure was made that prompted us to make a declaration to the Charity Commission. We were made aware of the conviction of one of our volunteers for an offence unrelated to the Museum but which was nevertheless of a serious nature. The declaration was managed by our Designated Safeguarding Lead and Safeguarding Board, following the Museum's Safeguarding Policy and procedures.

Relationship with other charities and organisations

The Museum is an instinctively collaborative organisation that seeks to work with like-minded partners from the private, public, educational and not-for-profit sectors to achieve mutually beneficial goals and enhance the delivery of public benefit. A list of our education and engagement partnerships can be found in the Strategic Report.

We are fortunate to be supported by the London Transport Museum Friends (LTMF), an independent charity (no. 285108) established in 1982 which has charitable objectives to advance '...public education in the history of transport and in particular by assisting and encouraging the work and activities of the London Transport Museum'. Museum Director Sam Mullins is also a Trustee of LTMF, and the Museum provides office space and other support to the Friends.

Fundraising

London Transport Museum actively pursues funding from the corporate sector, trusts, foundations, statutory and industry funders and from individuals to fund our charitable activity and extend our community and audience reach. We seek to establish relationships with those who have good reason to support the Museum, particularly, those who are willing and able to work collaboratively with the Museum in the long-term. This includes, but is not exclusive to, the transport industry and companies who do business with Transport for London.

Before entering into a partnership or relationship, the Museum will assess any potential harm a partnership could have on London Transport Museum, Transport for London, Museum audiences and stakeholders.

The decision on whether to develop a partnership or relationship will be based on the following criteria:

- *Brand alignment* – Is the relationship with a potential sponsor / donor consistent with our organisational values, mission and plan?
- *Reputational risk* – Could the sponsor / donor relationship bring either London Transport Museum or TfL into disrepute?
- *Nature and scale of risk* – What are the risks/likelihood of the risks, versus the potential benefits?
- *Funding need* - Does the relationship deliver on a real need for the organisation?
- *Value of the partnership* – What is the value of the partnership to London Transport Museum compared with the investment the Museum will need to put in to secure and manage it? Will the partnership deliver value to the Museum in the long term?
- *Financial stability* – Are we confident that the sponsor/donor will honour the terms of the relationship, contractual and otherwise?

The above assessments are made by Museum staff. Although the Museum may occasionally use third party websites such as Virgin Giving to collect donations, we do not employ the services of professional fundraisers or commercial participators.

Other than via admission charges for entry to the Museum, only a relatively small amount of our fundraising activity is aimed at the general public. We do not undertake street collections, telephone campaigns or employ any fundraising techniques that would constitute an unreasonable intrusion on a person's privacy, or are unreasonably persistent, or place undue pressure on a person to give money or other property. We maintain a database of subscribers to our email newsletter, and where we collect personal information this is managed in line with General Data Protection Regulation. If an individual has agreed to receive our newsletter, we will send regular updates that will include information about the Museum's work, as well as our events, special offers and fundraising activities. Further information about how LTM uses personal information can be found in our privacy statement:
https://www.ltmuseum.co.uk/privacy

The Museum has voluntarily subscribed to the scheme for fundraising regulation in England, Wales and Northern Ireland by the Fundraising Regulator, although we have queried the Fundraising Regulator's levy calculation which we believe is too high.

We also pay for membership of the Institute of Fundraising for key members of the Museum's fundraising team.

We have received one complaint about our corporate fundraising activity from a campaign group who have an ethical objection to one of the engineering companies that sponsors the Museum. We have received no complaints regarding our fundraising from individuals. The Trustees are content that all donations are in line with the Museum's policies.

Information transparency

Data relating to London Transport Museum, including details of reports, expenditure and Freedom of Information requests can be found by visiting the TfL Transparency pages on the TfL website:
https://tfl.gov.uk/corporate/transparency/

Disclosure of information to auditors

The Trustees who held office at the date of approval of this Trustees' Report confirm that, so far as they are each aware, there is no relevant audit information of which the Museum's auditors are unaware; and each Trustee has taken all the steps that they ought to have taken as a Trustee to make themselves aware of any relevant information and to establish that the Museum's auditors are aware of that information.

STATEMENT OF RESPONSIBILITIES OF THE TRUSTEES OF LONDON TRANSPORT MUSEUM LIMITED IN RESPECT OF THE TRUSTEES' ANNUAL REPORT AND THE FINANCIAL STATEMENTS

The trustees are responsible for preparing the Strategic Report, the Trustees' Annual Report and the financial statements in accordance with applicable law and regulations.

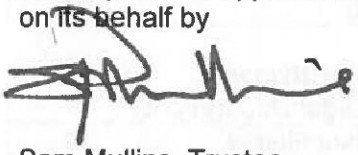
Company law requires the Trustees to prepare financial statements for each financial year. Under that law they are required to prepare the group and parent company financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102, the Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the Trustees must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and charitable company and of the group's excess of expenditure over income for that period. In preparing each of the group and charitable company financial statements, the Trustees are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the charitable company will continue its activities.

The Trustees are responsible for keeping adequate accounting records that are sufficient to show and explain the charitable company's transactions and disclose with reasonable accuracy at any time the financial position of the charitable company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.

This report was approved by the Board of Trustees and signed on Friday 19 October 2018 on its behalf by



Sam Mullins, Trustee

London Transport Museum Limited

Company registration number 6495761

Charity number 1123122

TRUSTEES AND ADVISERS

Directors and Trustees

The Directors of the charitable company are its Trustees for the purpose of charity law and throughout this report are collectively referred to as the Trustees.

Board of Trustees

Marcus Arthur (from 27 April 2018)	Leon Daniels*
Michèle Dix*	Vernon Everitt*
Sir Peter Hendy	Penny Johnson (to 16 September 2017)
Keith Ludeman (Chair)	Angela McConville
Sam Mullins (Managing Director)	Andy Rothery
Hayaatun Sillem	Andrew Smith (from 17 September 2017)
Phil Swallow	Liz Williams
David Worthington (to 27 April 2018)	

** Nominee of Transport for London*

Audit Committee	***Finance Committee***
Michèle Dix	Leon Daniels
Keith Ludeman	Keith Ludeman (Chair)
Andy Rothery	Angela McConville
Andrew Smith (Chair)	Andrew Smith
Phil Swallow	

Nominations Committee	***Remuneration Committee***
Vernon Everitt	Vernon Everitt
Keith Ludeman (Chair)	Keith Ludeman
Angela McConville	Hayaatun Sillem (Chair)

Directors of London Transport Museum (Trading) Limited

Marcus Arthur (Chair)	Chris Gilbert
Roger Cooke	Angela McConville
Graeme Craig	Sam Mullins
Bill Ferris	Randeep Sidhu

Auditors	***Principal Legal Advisers***
Kingston Smith LLP	TfL In-House Legal Department
Devonshire House	6th Floor Windsor House
60 Goswell Road	42–50 Victoria Street
London EC1M 7AD	London SW1H 0TL

Principal Bankers	***Company Secretary***
HSBC	Howard Carter
2nd Floor, 62-76 Park Street	
London SE1 9DZ	

Museum Senior Management Team

Chris Gilbert - Assistant Director - Business and Performance
Molly Jackson - Assistant Director - Commerce
Chris Nix - Assistant Director - Collections and Engagement
Geoff Rowe - Assistant Director – Visitor Services (interim)
Claire Williamson - Assistant Director - Marketing & Development

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDER OF LONDON TRANSPORT MUSEUM LIMITED

Opinion

We have audited the financial statements of London Transport Museum Limited for the year ended 31 March 2018 which comprise the Consolidated Statement of Financial Activities, including the Summary Income and Expenditure Account, the Group and Parent Charitable Company Balance Sheets and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent charitable company's affairs as at 31 March 2018 and of the group's incoming resources and application of resources, including its income and expenditure, for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (also known as ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of financial statements section of our report. We are independent of the charitable company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the trustees' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the trustees have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the group's and parent charitable company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The trustees are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the trustees' annual report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the trustees' annual report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and parent charitable company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the trustees' annual report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- the parent charitable company has not kept adequate and sufficient accounting records, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent charitable company's financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of trustees' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of trustees

As explained more fully in the trustees' responsibilities statement set out above, the trustees (who are also the directors of the charitable company for the purposes of company law) are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the trustees determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the trustees are responsible for assessing the group and parent charitable company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the trustees either intend to liquidate the group or parent charitable company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs (UK) we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purposes of expressing an opinion on the effectiveness of the group and parent charitable company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the trustees.

- Conclude on the appropriateness of the trustees' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group and parent charitable company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group or parent charitable company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit report.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Use of our report

This report is made solely to the charitable company's shareholder, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the charitable company's shareholder those matters which we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to any party other than the charitable company and charitable company's shareholder as a body, for our audit work, for this report, or for the opinions we have formed.

.....

Neil Finlayson (Senior Statutory Auditor)
for and on behalf of Kingston Smith LLP, Statutory Auditor
Devonshire House
60 Goswell Road
London
EC1M 7AD

Date: 24/10/2018

Consolidated statement of financial activities including income and expenditure account - Year ended 31 March 2018

Consolidated statement of financial activities — Including income and expenditure account - Year ended 31 March 2018

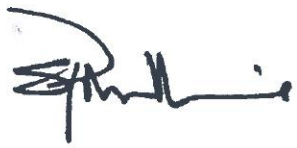
	NOTE	Unrestricted Funds	Restricted Funds	Total Funds	Unrestricted Funds	Restricted Funds	Total Funds
		2018	2018	2018	2017	2017	2017
INCOME FROM:		£000	£000	£000	£000	£000	£000
Donations, grants and fundraising							
Core grants		3,969	-	3,969	5,183	-	5,183
Other grants and donations		870	172	1,042	1,285	17	1,302
	4	4,839	172	5,011	6,468	17	6,485
Charitable activities							
Education and engagement		1,413	154	1,567	1,728	197	1,925
Access and museum operations		2,990	36	3,026	3,062	43	3,105
Heritage and collections		136	89	225	128	213	341
	6	4,539	279	4,818	4,918	453	5,371
Commercial activities	5	4,277	-	4,277	4,406	-	4,406
Other income	7	21	73	94	2	76	78
Investments (bank interest)		7	-	7	19	-	19
Total income		13,683	524	14,207	16,813	546	16,359
EXPENDITURE ON:							
Raising funds							
Trading operations		3,208	11	3,219	3,625	4	3,629
Other fundraising activities		919	2	921	910	3	913
	8a	4,127	13	4,140	4,535	7	4,542
Charitable activities							
Education and engagement		4,250	266	4,516	4,538	287	4,825
Access and museum operations		4,343	73	4,416	4,317	118	4,435
Heritage and collections		2,176	214	2,390	2,652	215	2,867
	8a	10,769	553	11,322	11,507	620	12,127
Total expenditure	8a	14,896	566	15,462	16,042	627	16,669
Net (expenditure)/income		(1,213)	(42)	(1,255)	(229)	(81)	(310)
Transfers between funds	16a	92	(92)	-	(25)	25	-
Net movement of funds in year		(1,121)	(134)	(1,255)	(254)	(56)	(310)
Reconciliation of funds							
Total funds brought forward		30,437	772	31,209	30,691	828	31,519
Total funds carried forward	16a	29,316	638	29,954	30,437	772	31,209

The statement of financial activities includes all gains and losses recognised in the year. All income and expenditure derives from continuing activities.

Balance sheets as at 31 March 2018

	Note	2018 Group £000	2017 Group £000	2018 Museum £000	2017 Museum £000
Tangible Fixed Assets	12	**22,446**	*23,325*	**22,446**	*23,325*
Current Assets					
Stock		**949**	*1,265*		
Debtors	13	**1,313**	*1,476*	**1,833**	*1,682*
Cash	14	**7,557**	*8,067*	**7,014**	*7,910*
		9,819	*10,808*	**8,847**	*9,592*
Creditors					
Falling due within one year	15a	**(2,278)**	*(2,911)*	**(1,339)**	*(1,708)*
		(2,278)	*(2,911)*	**(1,339)**	*(1,708)*
Net Current Assets		**7,541**	*7,897*	**7,508**	*7,884*
Total assets less current liabilities		**29,987**	*31,222*	**29,954**	*31,209*
Creditors					
Falling due after more than one year	15b	**(33)**	*(13)*	-	-
Net Assets		**29,954**	***31,209***	**29,954**	***31,209***
Represented by					
Restricted funds	16a	**638**	*772*	**638**	*772*
Called up share capital	18	-	-	-	-
Unrestricted Funds					
Designated funds					
Capital Fund		**22,447**	*23,325*	**22,447**	*23,325*
Future Exhibitions and Education Fund		**500**	*500*	**500**	*500*
Museum Asset Development Fund		**1,120**	*1,559*	**1,120**	*1,559*
Museum Strategic Development Fund		**3,885**	*4,000*	**3,885**	*4,000*
General unrestricted fund		**1,364**	*1,053*	**1,364**	*1,053*
	16a	**29,316**	*30,437*	**29,316**	*30,437*
Total		**29,954**	***31,209***	**29,954**	***31,209***

These financial statements were approved by the Trustees on 19 Oct 2018 and signed on their behalf by:



Sam Mullins, Trustee, London Transport Museum,

Company registration number 6495761

The notes on pages 58 to 75 form part of these accounts.

Notes to the financial statements

1. Basis of preparation

a) Statement of compliance

The financial statements have been prepared in accordance with:

- the Companies Act 2006
- the Charities Act 2011
- Accounting and Reporting by Charities: Statement of Recommended Practice (SORP 2015)
- United Kingdom Accounting Standards and generally accepted accounting practice, including Financial Reporting Standard 102 (FRS 102), the Financial Reporting Standard applicable in the United Kingdom and the Republic of Ireland.

London Transport Museum Limited is a 'public benefit entity' under FRS102.

b) Basis of measurement

The accounts are made up to 31 March 2018 and have been prepared under the accruals concept and in accordance with the historical cost accounting convention.

The Trustees have a reasonable expectation that the charitable company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, the Trustees continue to adopt the going concern basis in preparing the annual report and accounts.

The financial statements have been prepared to give a 'true and fair' view and have departed from the Charities (Accounts and Reports) Regulations 2008 only to the extent required to provide a 'true and fair' view. This departure has involved following SORP 2015 issued on 16 July 2014 rather than the preceding Charities SORP (SORP 2005) which was effective from 1 April 2005 and has since been withdrawn.

The principal accounting policies adopted in the preparation of the financial statements are set out below.

c) Group financial statements

These financial statements consolidate the results of the Museum charity and its wholly owned subsidiary London Transport Museum (Trading) Limited on a line by line basis. Neither a separate statement of financial activities nor an income and expenditure account are presented for the Museum charity itself following the exemptions afforded by section 408 of the Companies Act 2006.

The functional currency of the Museum is Pound Sterling and amounts have been rounded to £000.

2. Uses of estimates and judgements

The preparation of Financial Statements in compliance with UK accounting standards requires the use of certain critical accounting estimates. It also requires Trustees and management to exercise judgement in applying the Museum's accounting policies.

Items in the financial statements where these judgments and estimates have been made include amounts for goods, facilities and services donated for the Museum's use. Where the benefit is quantifiable and the goods and services would otherwise have had to be purchased, such items are recognised in the financial statements as both income and expenditure at a reasonable estimate of their value to the charity in the period in which they are donated.

As per SORP 2015 section 1.38, measurement issues, including attributing an economic value to the contribution of general volunteers, prevent the value of services provided by volunteers being incorporated into these financial statements. Further details of the contribution made by volunteers can be found in the body of the Trustees' Annual Report.

The most significant judgment and estimate in the accounts is the value placed on the net assets transferred from TfL under the Transfer Scheme at 1 April 2008 when the charity was formed. These assets were valued at £28.74m, this being the written down value of the assets in the accounts of TfL as at 31 March 2008.

As at 31 March 2018, no estimates or assumptions made are considered to have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

3. Accounting Policies

a) Income

Income is included in the Statement of Financial Activities when all the following criteria are met:

- control over the rights or other access to the economic benefit has passed to the Museum ('entitlement')
- it is more likely than not that the economic benefits associated with the transaction or gift will flow to the Museum ('probable')
- the monetary value or amount of the income can be measured reliably and the costs incurred for the transaction and the costs to complete the transaction can be measured reliably ('measurement')

Income from donations, grants and fundraising includes items that provide core funding or are of a general nature. These are recognised upon receipt. Such income would only be deferred when:

- The donor specifies that the grant or donation must only be used in future accounting periods; or
- The donor has imposed conditions which must be met before the Museum has unconditional entitlement.

Income from corporate supporter memberships, commercial trading, sponsorships and other similar activities where benefits are delivered by the Museum or its subsidiary trading company, is recognised as the related goods and services are provided.

Investment income is recognised on a receivable basis.

Income from charitable activities includes income received under contract or where entitlement to grant funding is subject to specific performance conditions which is recognised as the related goods or services are provided.

b) Expenditure

All expenditure (except capital expenditure) is included in the Statement of Financial Activities inclusive of any irrecoverable VAT. Expenditure is recognised when a liability is incurred and is classified under the following principal categories:

- Costs of raising funds includes the costs of commercial trading and the operating costs of the fund-raising department.
- Costs of charitable activities include expenditure associated with the operation of the Museum and its educational and public programmes, and the management and development of the Museum's collections and exhibitions.

Where costs relate directly to an activity they have been allocated against that activity. Support costs (including governance costs) that relate to more than one activity have been allocated to activity cost categories on the basis of staff numbers in each area of activity (see Note 8).

c) Tangible fixed assets

Individual fixed assets over £10,000 are capitalised at cost.

Tangible fixed assets are depreciated on a straight line basis over their estimated useful lives as follows:

Plant and equipment	3 – 10 years
Buildings and refurbishments	10 – 35 years

Structural improvements to the fabric of the Museum at Covent Garden are depreciated over the remaining life of the lease for the building (27 years). Other building work is capitalised if it is considered that future economic benefits in excess of the originally assessed standard of performance will flow as a result of that work.

d) Heritage assets

Heritage assets are those assets of historical, artistic or scientific importance that are held to advance the preservation, conservation and educational objects of the Museum. The Museum collections consist of over 475,000 items which are on loan from TfL. Assets on loan are not capitalised within these financial statements although expenditure relating to their use and maintenance is included in the Statement of Financial Activities.

e) Operating leases

Costs relating to operating leases are charged to the Statement of Financial Activities on a straight-line basis over the life of the lease.

f) Stock

Stock is valued at the lower of cost or net realisable value. Cost includes only the purchase price of the items. Provision is made for obsolete and slow-moving items where appropriate. All stocks relate to the Museum's retail activities.

g) Funds structure

Restricted funds are funds to be used for particular purposes laid down by the donors or which have been raised for a specific purpose.

Unrestricted funds are funds available for use at the discretion of the Trustees in furtherance of the Museum's charitable objectives.

Designated funds comprise unrestricted funds that have been set aside by the Trustees for particular purposes.

The purposes and uses of the funds held in each of these categories are given in Note 16.

h) Pensions

The Museum participates in a pension scheme operated by TfL providing benefits based on final pensionable pay. The assets of the scheme are held separately from those of the Museum. The charity is unable to identify its share of the underlying assets and liabilities of the scheme on a consistent and reasonable basis and therefore, as permitted by the multi-employer exemption in FRS 17 'Retirement Benefits', it is accounted for as if it were a defined contribution scheme. As a result, the amount charged to the Statement of Financial Activities represents the contributions payable to the scheme in respect of the accounting period. The disclosures required under FRS 102 are given in Note 19.

i) Related party transactions

Except in so far as disclosed in Note 20, the Museum has taken advantage of the exemption set out in section 33 of FRS 102 not to disclose any transactions with other TfL Group undertakings.

j) Taxation

The Museum is considered to pass the tests set out in Paragraph 1 Schedule 6 of the Finance Act 2010 and therefore meets the definition of a charitable company for UK corporation tax purposes. Accordingly, the charity is potentially exempt from taxation in respect of income or capital gains received within categories covered by Chapter 3 Part 11 of the Corporation Tax Act 2010 or Section 256 of the Taxation of Chargeable Gains Act 1992, to the extent that such income or gains are applied exclusively to charitable purposes.

k) Cash flow

The Museum has taken advantage of the exemption, under FRS 102 paragraph 1.12(b), from preparing a statement of cash flows, on the basis that it is a wholly owned subsidiary undertaking of Transport Trading Limited and its cash flows are included within the consolidated financial statements of that company which are publicly available.

l) Financial instruments

Financial assets held by the Museum are classified as "loans and debtors" within the scope of sections 11 and 12 of FRS 102.

Financial liabilities within the scope of sections 11 and 12 of FRS 102 are classified as financial liabilities measured at amortised cost.

The Museum determines the classification of its financial instruments at initial recognition and re-evaluates this designation at each financial year end. When financial instruments are recognised initially, they are measured at fair value, being the transaction price plus any directly attributable transactional costs. The subsequent measurement of financial instruments depends on their classification as follows:

- ***Trade and other debtors***

  Trade and other debtors are recognised initially at fair value and subsequently at amortised cost. For trade debtors this is after an allowance for estimated impairment. The allowance is based on objective evidence that the Museum will not be able to recover all amounts due, through a review of all accounts and prior experience of collecting outstanding balances. Changes in the carrying amount of the allowance are recognised in the Statement of Financial Activities.

  The fair value of trade and other debtors is estimated as the present value of future cash flows, discounted at the market rate of interest at the reporting date. This fair value is determined for disclosure purposes.

- ***Cash and cash equivalents***

  Cash at bank and in hand comprises cash balances and bank deposits with original maturities of less than or equal to three months.

- ***Trade creditors and other payables***

  Trade creditors and other payables are recognised initially at fair value and subsequently at amortised cost using the effective interest method.

4. Donations, grants and fundraising

	2018 Unrestricted £000	2018 Restricted £000	2018 Total £000	*2017 Total £000*
Grants from TfL	3,969	-	**3,969**	*5,183*
Donated services				
Seconded staff	35	-	**35**	*18*
Central services from TfL	278	-	**278**	*275*
Donations				
Benefit dinners	286	-	**286**	*335*
Gift Aid and other donations	271	172	**443**	*674*
Total	**4,839**	**172**	**5,011**	***6,485***

5. Commercial activities

	2018 Unrestricted £000	2018 Restricted £000	2018 Total £000	*2017 Total £000*
Retail sales	2,638	-	**2,638**	*2,549*
Other trading activities				
Venue hire	580	-	**580**	*614*
Catering income	57	-	**57**	*127*
Commercial sponsorships	406	-	**406**	*474*
Corporate memberships	575	-	**575**	*588*
Other miscellaneous income	21	-	**21**	*54*
Total	**4,277**	-	**4,277**	***4,406***

6. Income from charitable activities

(a) Analysis by source of income

Group and Museum	2018 Unrestricted £000	2018 Restricted £000	2018 Total £000	2017 Total £000
Museum admissions	2,345	-	**2,345**	*2,197*
Safety and Citizenship income	938	-	**938**	*1,166*
Arts Council Funding	-	211	**211**	*222*
Heritage vehicle events and station tours	687	-	**687**	*829*
BattleBus project	-	68	**68**	*135*
Grants for youth engagement activity	338	-	**338**	*473*
Grants for skills and employability activities	1	-	**1**	*31*
Other miscellaneous charitable income	230	-	**230**	*318*
Total	**4,539**	**279**	**4,818**	**5,371**

(b) Analysis by type of charitable activity

Group and Museum	2018 Education and engagement £000	2018 Access and museum operations £000	2018 Heritage and collections £000	2018 Total £000	2017 Total £000
Museum admissions	-	2,345	-	**2,345**	*2,197*
Safety and Citizenship income	938	-	-	**938**	*1,166*
Arts Council Funding	86	36	89	**211**	*222*
Heritage vehicle events and station tours	28	634	25	**687**	*829*
BattleBus project	68	-	-	**68**	*135*
Grants for youth engagement activity	338	-	-	**338**	*473*
Grants for skills and employability activities	1	-	-	**1**	*31*
Other miscellaneous charitable income	108	11	111	**230**	*318*
Total	**1,567**	**3,026**	**225**	**4,818**	**5,371**

7. Other income

	2018 Unrestricted £000	2018 Restricted £000	2018 Total £000	*2017 Total £000*
Arts Council resilience grants	-	73	**73**	*76*
Other miscellaneous income	21	-	**21**	*2*
Total	**21**	**73**	**94**	*78*

8. Expenditure

(a) Direct and apportioned costs

	2018 Direct costs	2018 Apportioned support costs	2018 Total	2017 Total
	£000	£000	£000	£000
Cost of goods sold	1,241	-	**1,241**	*1,198*
Other trading subsidiary costs	1,967	11	**1,978**	*2,431*
Other fundraising activities	304	617	**921**	*913*
Costs of raising funds	3,512	628	**4,140**	*4,542*
Education and engagement	2,038	2,478	**4,516**	*4,825*
Access and museum operations	2,214	2,202	**4,416**	*4,435*
Heritage and collections	1,144	1,246	**2,390**	*2,867*
Charitable activities	5,396	5,926	**11,322**	*12,127*
Total	**8,908**	**6,554**	**15,462**	*16,669*

(b) Shared support cost allocation

	2018 Education and engagement	2018 Access and museum operations	2018 Heritage and collections	2018 Raising funds	2018 Total
	£000	£000	£000	£000	£000
Premises & facilities	1,557	1,383	783	394	**4,117**
Finance & management	434	386	218	110	**1,148**
Marketing	192	171	97	49	**509**
Systems	110	98	55	28	**291**
Design & presentation	93	82	47	24	**246**
Governance	28	25	14	7	**74**
Other activities	64	57	32	16	**169**
Total 2018	**2,478**	**2,202**	**1,246**	**628**	**6,554**
Total 2017	*2,637*	*2,330*	*1,293*	*585*	*6,845*

Support costs have been allocated to activity cost categories on the basis of staff numbers in each area of activity (see Note 3b).

9. Net Expenditure

This is stated after charging:

	2018 £000	2017 £000
Depreciation	**1,693**	*1,630*
Auditor's remuneration		
Audit - Museum	**19**	*16*
Audit - subsidiary trading company	**5**	*5*
Other services	**7**	-
Operating lease rentals - buildings	**978**	*978*
Operating lease rentals - office equipment	**42**	*42*
Operating lease rentals - plant	**10**	-

10. Trading subsidiary

The Museum has a single subsidiary company, London Transport Museum (Trading) Limited (LTMTL), having an issued share capital of £1, wholly owned by London Transport Museum Limited.

LTMTL undertakes retail operations, venue hire, commercial sponsorships and the Museum corporate membership scheme.

LTMTL Profit and Loss Account

Period ended 31 March	2018	2017
	£000	£000
Turnover	4,324	*4,423*
Cost of Goods Sold	(1,241)	*(1,198)*
Gross Profit	3,083	*3,225*
Operating Expenses	(2,079)	*(2,460)*
Profit from ordinary activities before taxation	1,004	*765*
Tax on ordinary activities	-	-
Total comprehensive income for the year	1,004	*765*
Statement of Income and Retained Earnings		
Retained profit brought forward	-	-
Total comprehensive income for the year	1,004	*765*
Charitable donation via Gift Aid to London Transport Museum	(1,004)	*(765)*
Retained profit carried forward	-	-

LTMTL Balance Sheet

	2018	2017
	£000	£000
Current assets		
Stock	949	*1,265*
Debtors	614	*655*
Cash	543	*157*
	2,106	*2,077*
Creditors		
Falling due within one year (including Gift Aid to LTM)	(2,073)	*(2,064)*
Net current assets	33	*13*
Creditors		
Falling due after one year	(33)	*(13)*
Net assets	-	-
Share capital and reserves		
Share capital	-	-
Profit and loss reserve	-	-
Total equity shareholder's funds	-	-

11. Staff costs and staff numbers

(a) Total remuneration

Group and Museum	2018 £000	2017 £000
Wages and salaries	3,638	3,656
Social security costs	386	391
Pension costs	853	870
Total	**4,877**	**4,917**

The Managing Director is the only paid director and received emoluments from the Museum, including salary, fees, benefits in kind and other emoluments totalling £96,021 (2017: £96,818). In addition, the Museum made contributions totalling £25,710 (2017: £25,459) to the TfL Pension Fund, a defined benefit scheme, on behalf of the Managing Director for the year.

The number of employees whose employee benefits (excluding employer's pension contributions) amounted to over £60,000 in the year is given below.

	Group 2018 No.	Group 2017 No.
£60,000 - £69,999	2	3
£70,000 - £79,999	2	2
£80,000 - £89,999	-	-
£90,000 - £99,999	1	1

Contributions to the defined benefit pension scheme made in respect of the five higher paid employees amounted to £98,265 (2017: six employees, £117,101).

(b) Other than the Managing Director, none of the Trustees received any remuneration for their services. Reimbursements of Trustees' expenses totalling £326 were made in the year (2017: £610).

(c) The average number of persons (full-time equivalents) employed during the year was:

	Group 2018 FTE	Group 2017 FTE
Education and engagement	**25.3**	*25.7*
Access and museum operations	**22.4**	*22.7*
Heritage and collections	**12.7**	*12.6*
Activities to generate funds	**19.2**	*18.2*
Support functions		
Premises & facilities	**1.0**	*1.0*
Finance & management	**9.0**	*7.5*
Marketing	**4.5**	*4.0*
Systems	**2.0**	*2.5*
Design & presentation	**1.0**	*1.0*
	97.1	*95.2*
Plus seconded staff	*0.9*	*0.5*

(d) As at 31 March, Museum staff had earned entitlement to annual leave not yet taken equivalent to an estimated total value of £116,000 (2017: £103,000). This has been incorporated in the Statement of Financial Activities.

(e) The key management personnel of the Museum comprise the Trustees and the Senior Management Team (see page 52). The total employee benefits (including employer's pension and national insurance contributions) of the key management personnel was £542,000 (2017: £553,000).

12. Tangible fixed assets

	Property and buildings	Assets under construction	Total Property and buildings	Plant and equipment	Total
	£000	£000	£000	£000	£000
Group and Museum					
Cost					
At 1 April 2017	*33,575*	*522*	*34,097*	*1,580*	*35,677*
Additions	569	169	738	77	815
Transfers	515	(522)	(7)	7	-
At 31 March 2018	**34,659**	**169**	**34,828**	**1,664**	**36,492**
Accumulated depreciation					
At 1 April 2017	*(11,383)*	-	*(11,383)*	*(970)*	*(12,353)*
Charge for the year	(1,491)	-	(1,491)	(202)	(1,693)
At 31 March 2018	**(12,874)**	-	**(12,874)**	**(1,172)**	**(14,046)**
Net book value at 31 March 2018	**21,785**	**169**	**21,954**	**492**	**22,446**
Net book value at 31 March 2017	*22,192*	*522*	*22,714*	*610*	*23,324*

13. Debtors

	2018 Group £000	2017 Group £000	2018 Museum £000	2017 Museum £000
Trade debtors	592	701	28	80
Prepayments and accrued income	721	775	671	741
Taxation	-	-	50	45
Amounts owed by subsidiary undertakings	-	-	1,084	816
Total	1,313	1,476	1,833	1,682

14. Cash

	2018 Group £000	2017 Group £000	2018 Museum £000	2017 Museum £000
Held in current accounts and in hand	4,591	5,131	4,114	5,010
Held in short-term deposit accounts	2,966	2,936	2,900	2,900
Total	7,557	8,067	7,014	7,910

The majority of the cash balance is held to meet future expenditure relating to the Museum's restricted and designated reserves (with the exception of the Capital Fund which is represented by the value of the Museum's fixed assets).

15. Creditors

(a) Creditors: amounts falling due within one year

	2018 Group £000	2017 Group £000	2018 Museum £000	2017 Museum £000
Trade creditors	369	424	285	314
Taxation	36	25	1	15
Accruals	1,298	1,652	1,036	1,171
Deferred income	575	810	17	208
Total	2,278	2,911	1,339	1,708

Deferred income includes income relating to corporate sponsorship, corporate membership, and Hidden London ticket sales received in advance – see note 15 (c) for more information about deferred income.

(b) Creditors: amounts falling due after one year

	2018 Group £000	2017 Group £000	2018 Museum £000	2017 Museum £000
Deferred income	33	13	-	-
Total	33	13	-	-

(c) Deferred income

	2018 Group £000	2017 Group £000	2018 Museum £000	2017 Museum £000
Brought forward	823	602	208	12
Utilised in year	810	589	208	12
Deferred in year	595	823	17	208
Carried forward:				
Amount due within one year	575	810	17	208
Amount due after one year	33	13	-	-

16. Statement of group funds

(a) The movements on funds are as follows:

Group and Museum	1 April 2017 £000	Income £000	Expenditure £000	Transfers £000	31 March 2018 £000
Unrestricted Funds					
Designated Funds					
Capital Fund	23,325	-	(1,693)	815	22,447
Museum Strategic Development Fund	4,000	-	-	(115)	3,885
Future Exhibitions and Education Fund	500	-	-	-	500
Museum Asset Development Fund	1,559	-	-	(439)	1,120
Total Designated Funds	29,384	-	(1,693)	261	27,952
General funds	1,053	13,683	(13,203)	(169)	1,364
Total Unrestricted Funds	30,437	13,683	(14,896)	92	29,316
Restricted Funds					
Luke Rees-Pulley Charitable Trust	27	50	(10)	(50)	17
Met 353 Carriage	38	-	-		38
Arts Council England	9	285	(314)	20	0
Battlebus	45	67	(90)		22
Collections Development	570	-	-	7	577
Leyland Bus Appeal	-	57	(50)	(7)	-
Biffa: Digging Deper	-	65	-	(65)	-
HLF Moquette	46	-	(65)		(19)
Gynneth Forester Trust	31	-	(33)	2	-
Other miscellaneous restricted funds	6	-	(4)	1	3
Total Restricted Funds	772	524	(566)	(92)	638
Total Funds	31,209	14,207	(15,462)	(0)	29,954

Designated funds

The Capital Fund represents the net book value of the Museum's tangible fixed assets. It is written down by the value of depreciation, and increased by any additions to the Museum's fixed assets.

Capital improvements to the Museum's premises and facilities totalling £0.8m were added to the Capital Fund this year. These were met by contributions from Biffa Award, Luke Rees Pulley Charitable Trust totalling £0.1m, a transfer of £0.1m from the Museum Strategic Development Fund, TfL project grant of £0.15m, and the balance being a transfer from the Museum Asset Development Fund.

The Museum's learning and collections-based activities were adequately funded this year so there were no calls on the Future Exhibitions and Education Fund.

Restricted funds

The Collections Development Fund (CDF) was established in 2012/13 following the auction of 400 surplus posters. The Fund can only be used for collections acquisitions and conservation. In the previous two years, this fund was used to meet the shortfall in the Leyland buses appeal for the acquisition of two Sutcliffe Collection motor buses. Following the acquisition of the final vehicle in 2017/18, there was a small surplus on the Leyland appeal (£7k) which has been transferred to the CDF to account for the prior year offsets.

Arts Council England provide support for a number of initiatives including some which require match funding from the Museum's trading company. A transfer from general funds was made to reflect this.

The Luke Rees-Pulley Charitable Trust (LRPCT) supports a number of Museum initiatives including family resource packs, play activities for children, a learning officer and an apprentice. A contribution of £50k to the capital costs of the Digging Deeper gallery refurbishment was transferred to the Capital Fund. A further £65k of capital funding for Digging Deeper was received from the Biffa Award scheme, and was also transferred to the Capital Fund to offset the cost of fixed assets.

The Met 353 Carriage Fund will be used for any future conservation work on the Museum's restored 1908 carriage.

The Heritage Lottery Funded project exploring the Museum's unique collection of moquette fabric ended the year in deficit by £19k. This is primarily due to timing differences between the expenditure associated with this project and the receipt of funds from HLF. Final claims will be settled in the first quarter of 2018/19 and any remaining shortfall will be covered by a transfer from general funds.

(b) Analysis of group net assets between funds

	Unrestricted funds £000	Restricted funds £000	Total £000
Fund balances as at 31 March 2018 represented by			
Fixed assets	22,446	-	**22,446**
Current assets	9,146	677	**9,823**
Current liabilities	(2,243)	(39)	**(2,282)**
Long-term liabilities	(33)	-	**(33)**
Total net assets	**29,316**	**638**	**29,954**
Total net assets at 31 March 2017	*30,437*	*772*	***31,209***

17. Operating leases

At 31 March 2018, the future minimum operating lease payments for the Museum and the Group are as follows:

	2018	2017
	£000	£000
Within 1 Year	**1,031**	*1,021*
Between 2 and 5 Years	**3,199**	*3,383*
Over 5 Years	**15,856**	*16,660*

18. Called up share capital

	2018	2017
	£	£
Authorised		
1 ordinary share of £1	1	*1*
Alloted, issued and fully paid up		
1 ordinary share of £1	1	*1*

As permitted by FRS 102 and SORP 2015, because no new share equity has been issued, the Museum has not produced a separate statement of changes in equity for the reporting period.

19. Pensions

Background

The Museum offers retirement plans to its employees. The majority of the Museum's staff are members of the Public Sector Section of the TfL Pension Fund, which is a final salary scheme established under trust. Benefits are based on an employee's length of service and final pensionable pay. The Fund's Trustee is the TfL Trustee Company Limited, a wholly owned subsidiary of Transport for London. Under the rules of the Fund, its 18 trustee directors are nominated in equal numbers by Transport for London and on behalf of the Fund's membership.

The TfL Pension Fund's Actuary makes valuations and recommends the level of contributions to be made by the participating employers to ensure long-term solvency of the Fund. The latest formal funding valuation of the Fund was carried out as at 31 March 2015 by the Actuary, a partner of consulting actuaries Towers Watson, using the projected unit method. A revised Schedule of Contributions was agreed between the Trustee and the employers following the 2015 valuation of the TfL Pension Fund.

For the Public Sector Section, employers' contributions for the period from 1 April 2016 until 31 March 2022 will continue to be 31.0 per cent, an additional lump sum payment was made by TfL during the year ending March 2018. The recovery plan states that the expectation is that the funding shortfall will be eliminated by March 2022. The Fund deficit on an IAS19 basis (the international accounting standard under which TfL reports its consolidated accounts) is currently £4,535m.

The underlying assets and defined benefit obligation of the TfL Pension Fund

cover a number of Group entities and cannot be readily split between each undertaking. No contractual agreement is in place to allocate the total net obligation between the member entities. Thus, in accordance with IAS 19, the TfL Corporation, as the Scheme sponsor, has recognised the total net defined benefit obligation in its own individual accounts.

As at the Balance Sheet date, no allocation of the deficit of the fund has been made between the various TfL Group companies, including London Transport Museum. Should this position change in future, an allocation may be made and the Museum may, at that point, become liable for its share of the deficit. There are no plans for such an allocation to be made.

Further information regarding the TfL Pension Fund can be found in the TfL Annual Report and Statement of Accounts.

Accounting
The Museum's ultimate parent, Transport for London, and the Museum's fellow subsidiaries participate in the Public Sector Section of the TfL Pension Fund. Because the Museum is unable to identify its share of the underlying assets and liabilities on a consistent and reasonable basis, as permitted by FRS 102, the Museum treats contributions to the Public Sector Section as if they were contributions to a defined contribution plan. The Museum's contributions to the Fund of £827,000 (2017: £846,000) have been charged to the income and expenditure account.

Other pension schemes
Pension contributions of £5,000 have been made to the London Pensions Fund Authority for a member of staff who joined the Museum from a TfL group company. LTM also made employer contributions to two AVC schemes (Standard Life and Winterthur Life) totalling £6,000.

20. Related and connected party transactions

TRANSPORT FOR LONDON

London Transport Museum Limited is a charitable subsidiary company of Transport Trading Limited (TTL), a Transport for London Group company. TfL provides financial assistance to the Museum in the form of grants for Museum operations and, in addition, certain divisions of TfL provide financial support to the Safety and Citizenship Programme and other Museum activities as agreed on a project by project basis.

The Museum receives benefits from the activities of TfL Group functions such as Finance, Human Resources, Internal Audit and Payroll. Where management fees are levied upon the Museum by TfL and TTL for services provided these are applied at the same rates as for all other TfL Group companies. Where services are donated by TfL which are reasonably quantifiable and measurable, these are included in the Statement of Financial Activities at their estimated gross value and an equivalent amount is included as income under the appropriate heading.

A summary of transactions with TfL which are included in the Financial Statements is given below:

Related party transactions with TfL	2018 Income £000	2018 Expenditure £000	2017 Income £000	2017 Expenditure £000
Core grant and capital grant	3,969	-	5,183	-
Other income	1,143	-	1,663	-
Group services supplied	-	262	-	509
Group services/other benefits donated	275	275	275	275

As at 31 March 2018, no amounts remained outstanding in relation to the above transactions.

In addition to these amounts, a number of other arrangements exist between LTM and TFL for which no financial entries are made:

TfL undertakes some maintenance work on LTM's operational heritage vehicles and provides the Acton Depot site free of charge to the Museum. The Depot is contiguous with and connected to Ealing Common railway depot, and is occasionally used by London Underground for road to rail access and shunting.

LTM is also given access to TfL property including non-operational stations for Hidden London tours. The Museum has been allowed to install poster frames at a number of London Underground stations and riverboat piers which are used for Museum marketing purposes.

In 2016, the rent review for the Museum's premises at Covent Garden, on which TfL holds the lease, was concluded and the rent increased by 11 per cent. TfL has chosen not to pass this increase on to the Museum. Note that rental expenditure is not included above and is treated as direct expenditure by the Museum and accounted for accordingly in the Statement of Financial Activities.

Museum staff are provided with passes that allow free or discounted travel on TFL services for themselves and a nominee. TfL also offer Museum Trustees and non-executive Directors of London Transport Museum (Trading) Limited restricted travel privileges.

TfL Group companies receive discounts on the hire of Museum facilities, and all TfL staff receive free entry to the Museum and discounts in the Museum shop.

OTHER RELATED PARTIES

Other material related party transactions in the year	2018 Income £000	2018 Expenditure £000	2017 Income £000	2017 Expenditure £000
(a) London Transport Museum Friends	114	19	172	21
(b) Interserve	-	439	-	475

(a) London Transport Museum Friends (LTMF)
Although some Museum Trustees and senior managers may act as Trustees of other charities, the Museum does not direct, and is not under the direction of, the trustees of any other charity and therefore these charities are not considered to be related parties. However, given the close relationship with the London Transport Museum Friends, we have chosen to disclose transactions with that organisation. In addition to the financial transactions summarised above, the Museum also provides LTMF with office and IT facilities, and support for marketing and other activities.

Note that a data processing correction has caused the 2017 LTMF income to be restated as £172,000 from £30,000 as previously reported.

(b) Interserve
Museum Chair Keith Ludeman was a Director of Interserve during 2017/18. LTM's security contractor, First Security, is a part of the Interserve group.

There are no other related party transactions.

21. Charity information

The Museum is a company and registered charity incorporated and domiciled in the United Kingdom. The Museum's charity registration number is 1123122 and its company registration number is 6495761. The address of the Museum's registered office is 55 Broadway, London SW1H 0BD.

The Museum is a wholly owned subsidiary undertaking of Transport Trading Limited. For more information about the administration and organisation of the Museum see the section 'Structure, Governance and Management' in the Annual Report of the Trustees.

London Transport Museum Limited (the "Museum") is a public benefit entity. LTM's Memorandum of Association states 'the property and funds of the Charity must be used only for promoting the Objects and no dividends shall be paid to the Member'.

SUPPORT US
Our vision is to be the world's leading museum of urban transport and a place for everyone to come to understand the story of London's journey. To do this we need your support to help us preserve and secure the collection, to inspire audiences, and to help educate young people across London.

Patrons Circle
The Patrons Circle is a group of like-minded people who care about the Museum's heritage and educational work. Patrons enjoy exclusive tours, locomotive footplate and cab rides, and other special events not usually available to the public.

To become a Patron, visit our website **www.ltmuseum.co.uk/support-us**
Email: supportus@ltmuseum.co.uk
Telephone: +44 (0)20 7565 7451

Volunteer
Volunteers make a huge contribution to London Transport Museum, greeting visitors, leading tours, helping with conservation projects and much more.

To get involved, visit **www.ltmuseum.co.uk/support-us/get-involved/volunteering**
Email: opportunities@ltmuseum.co.uk
Tel: +44 (0)20 7565 7264

Corporate support and sponsorship
The Museum's programmes and our strong ties with the transport industry and TfL offer exceptional opportunities for corporate supporters.

To find out more visit **https://www.ltmuseum.co.uk/support-us/corporate/membership**
Email: supportus@ltmuseum.co.uk
Tel: +44 (0) 20 7565 7451

Visit us
The Museum at Covent Garden is open seven days a week and has an exciting programme of events all year round.

For more details, go to **www.ltmuseum.co.uk/visit**

Keep in touch
Sign up to receive our newsletter for the latest information on Museum events and offers at **www.ltmuseum.co.uk/enews**. You can also find us on Facebook and Twitter.

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Company number 6495761
Registered address:
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